

Text books:

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UNIT ONE: INTEGRATED MARKETING COMMUNICATION

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1.0. Aims and objectives

The aim of this unit is to present the core concept of the integrated marketing communication elements and its steps /process. By the time you finish this unit you should be able to:

- define what communication is and its core concepts
- identify communication elements and the basic elements
- identify and differentiate types of communication
- understand how to manage communication process and steps
- understand what promotional mix is and know how to practice mix elements

1.1 Communication concept

Communication is the art of disseminating information with the objective of bringing some impact on the receiver in a form of behavioural change, reaction, or feedback. Communication is the process by which information is exchanged and understood by two or more people, usually with the intent to motivate or influence behaviour. ***Communication is to “share” – not “to speak” or “to write”.***

According to Koontz and O'Donnell, “Communication is an intercourse by words, letters, symbols or messages and is a way that one group member shares meaning and understanding with another.” Communication can be defined as the process of transmitting information and common understanding from one person to another (Keyton, 2011). The word communication is derived from the Latin word, communis, which means common. The definition underscores the fact that unless a common understanding results from the exchange of information, there is no communication.

For many years, the promotional function in most companies was dominated by mass-media advertising. Companies relied primarily on their advertising agencies for guidance in nearly all areas of marketing communication. Most marketers did use additional promotional and marketing communication tools, but sales promotion and direct-marketing agencies as well as package design firms were generally viewed as auxiliary services and often used on a per-project basis.

Public relations agencies were used to manage the organization's publicity, image, and affairs with relevant publics on an ongoing basis but were not viewed as integral participants in the marketing communications process.

Many marketers built strong barriers around the various marketing and promotional functions and planned and managed them as separate practices, with different budgets, different views of the market, and different goals and objectives.

These companies failed to recognize that the wide range of marketing and promotional tools must be coordinated to communicate effectively and present a consistent image to target markets. Marketing communications are the means by which firms attempt to inform, persuade, and remind consumers-directly or indirectly-about the products and brands they sell. In a sense, marketing communications represent the "voice" of the company and its brands and are a means by which it can establish a dialogue and build relationships with consumers.

1.1.1. Benefits of Communication

Marketing communications also **provides** a lot of benefits for consumers and marketers:

- They can tell or show consumers how and why a product is used, by what kind of person, and where and when.
- Consumers can learn about who makes the product and what the company and brand stand for; and they can get an incentive or reward for trial or usage.
- It allows companies to link their brands to other people, places, events, brands, experiences, feelings, and things.
- They can contribute to brand equity-by establishing the brand in memory and creating a brand image-as well as drive sales and even affect shareholder value

Modern marketing calls for more than developing a good product, pricing it attractively, and making it accessible. Companies must also communicate with present and potential stakeholders as well as the general public. For most companies, the question is not whether to communicate but rather what to say, to whom, and how often. The marketing communications mix consists of advertising, sales promotion, public relations and publicity, personal selling, and direct marketing, although savvy marketers know that communication **goes beyond these five methods:**

- The product's styling and price,
- The package's shape and color,
- The salesperson's manner and dress,
- The place's décor — all communicate something to buyers. In fact, every brand contact delivers an impression that can affect a customer's view of the company. Therefore, the entire marketing mix must be integrated to deliver a consistent message and strategic positioning.

1.2. Elements of communication

All the promotion techniques are based on **communication**. It is a process in which two or more persons consciously or unconsciously attempt to influence each other through the use of symbols or spoken words. It has **four basic** elements: **Sender, Media, Message** and **the receiver**. To understand how to communicate, it is necessary to define each individual element of communication first:

Source: the source of communication is the initiator, or origin, that puts the communication in to action. It is an individual or group that has a specific reason to begin the communication process. That is, there is a message that they wish another to receive.

Encoder: Once the purpose of the source has been decided, there must be a specified format for the message to take. This is what the communication encoder does; it takes the concept that the source wants sent out, and puts it into a suitable format for later interpretation.

Message: The information, idea, or concept that is being communicated from one end to the other is the message. Most of the time, in human communication, the message contains a distinct meaning.

Channel: It is essential for meaningful communication that a suitable means to transmit the message be selected. The channel is the route that the message travels on, be it verbal, written, electronic, or otherwise.

Noise: It is inevitable that noise may come into play during the communication process. Noise could be considered an interference or distortion that changes the initial message; anything that can misconstrue the message may be noise. Noise can be physical, as in an actual sound that muffles the message as it is being said, or it can be semantic, like if the vocabulary used within

the message is beyond the knowledge spectrum of its recipient. In order for communication to be effective, noise must be reduced.

Decoder: Before the message reaches the intended recipient, it must be decoded, or interpreted, from its original form into one that the receiver understands. This is essentially the same interaction as that of source and encoder, only in a reversed sequence.

Receiver: In order for communication to be executed, there must be a second party at the end of the channel the source has used. The receiver takes in the message that the source has sent out.

Feedback: For meaningful communication to come to fruition, it is vital that the receiver provides feedback to the source. Feedback relates to the source whether their message has been received, and most importantly, if it has been interpreted accurately.

Without feedback, the source would never know if the communication was successful. Ongoing communication is made possible by the cyclical route feedback allows; if more communication between the two parties is necessary, they can follow the model indefinitely. First the **sender** gets an idea (ideation) what to communicate. The **source** then can encode the message and sends the message. This message is sent through a **channel** (media). It is then received by the **receiver** who decodes the message and sends a feedback to the receiver of having received the messenger.

Through the **feedback** the sender knows that the message has been received. It is important that the message be received and conveys the meaning it is intended for. The following figure shows the elements of communication process. It has **nine** elements:

Sender and receiver are the major parties in communication.

Message and media are the major communication tools.

Encoding, decoding, response and feedback, represents the major communication function.

Noise is the last system which interferes with the intended communication.

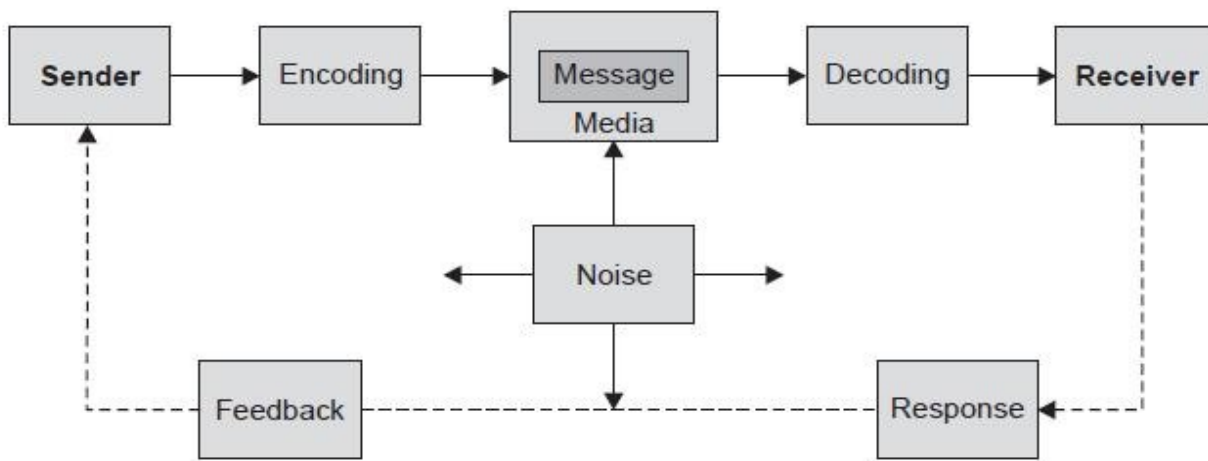


Fig. 1.1.Elements in the communication process

1.2.1. Forms of communication

Communication can be used in many forms. It can be **written or spoken**, by **body language**, by **pictures, illustration, by company logo...** It acts as a bridge between the purchaser and the seller. Communication is a very wide term.

It can take in its preview both **external communication and internal communication.**

I) External Flow

By external flow we mean the communication which flows to the target market. This target market consists of:

- Customers: Past Present, Potential Customers also known as prospects...
- Channel Members: Wholesalers, Retailers, Agents & any other Middlemen
- Government Agencies: Private Agencies to Society...
- Companies: Competing, Non-competing and others
- Other Stake holders

II) Internal Flow

It is the flow of communication inside the organization with various departments e.g., finance, production, HRM, marketing... Marketing department communication may include all marketing function including research, innovation, development, packaging, branding and

production which has to be of good quality as desired by the customers for their satisfaction.

1.3. Process of communication

The process of communication: Communication is a two-way process involving the following elements: a sender, a message, a medium, a channel, a receiver, a response and feedback. However, it is not sufficient to have just all these elements; there should be cooperation and understanding between the two parties involved. It is important to have a common frame of reference or context for successful and meaningful communication, e.g. a common language or common interpretation of a gesture. Essentially communication involves the sender or the communicator and the receiver. Both should necessarily share a mutually accepted code e.g. a common language. The context in which the communication takes place is called the “communication environment”.

The content of the code is sent in a certain medium (oral, written or non-verbal) using channels (air, mikes, body, pictures, text, etc.) in the form of encoded messages.

The “code” is not restricted to only language; it may also involve the use of costumes, gestures, colors among other things. The process of communication can be described in the following manner:

- The **sender** sends a “message” using a “medium” and a “channel” to the “receiver”.
- The **message** arrives in the sensory world of the receiver.
- The receiver’s brain filters the message on the basis of his/her knowledge, emotions, attitudes, and biases and gives the message a unique meaning (**decoding**).
- This meaning may trigger a response which the mind of the **receiver** forms.
- The receiver encodes his/her response and sends it across as “**feedback**” into the sensory world of the sender. This completes one cycle of communication and the process continues in a cyclic manner, i.e. cycle after cycle, as long as the people involved care to communicate.

1.3.1. The components of the communication process can be listed as follows:

1. Idea or impulse that arises in the sender’s mind
2. Formal expression of the idea or impulse using a medium and channel: encoding

3. Interpretation of the message by the receiver: decoding
4. Reaction or response of the receiver
5. Conveying the reaction/response in the feedback using a medium and channel
6. Decoding of the feedback received

1.3.2. The essentials of effective communication are:

- A) A common communication environment
- B) Cooperation between the sender and the receiver
- C) Selection of an appropriate channel
- D) Correct encoding and decoding of the message
- E) Receipt of the desired response and feedback

1.3.3. Noise:

In some cases, the message may fail to produce the desired response because of a semantic gap or a barrier between the sender and the receiver.

This is termed as “noise”; it refers to any unplanned interference in the communication which causes a hindrance in the transmission of the message.

There are two types of “noise”:

1. Channel noise: This refers to static, mechanical failures, problems in volume, pitch, legibility of text, etc.
2. Semantic: Here “noise” is generated internally resulting from errors in the message itself: ambiguity, grammatical errors, wrong spellings, incorrect punctuation, etc.

1.3.4. Feedback:

The transmission of the receiver’s response to the sender is called “**feedback**.” It is one of the most vital factors of the communication process. It is essential because it is a barometer of effective communication.

The sender needs to know whether the receiver of the message has received it in the intended way and whether he responds in the desired manner. Of course, even if one receives a response, it may or may not be the one you had expected. But once you receive some response, you know that the message has been communicated, e.g. a notice for a meeting. There could be both positive and negative responses to this message; some may turn up for the meeting and some may not. Communication is said to be fully effective only when you get the desired response.

Feedback helps in improving communication as it enables the sender to pinpoint defects in the transmission of the message. A skilful communicator is always looking for warning signs that the communication is not going well and adjusts messages accordingly. Being alert to feedback helps the sender know whether he/she is on the right track. In the long run, it helps in understanding one's strengths and weaknesses in the communication context.

In the business world, managers should ensure that adequate facilities and opportunities exist for obtaining feedback. This is done through establishment of internal systems and forums which enable employees to express their views and influence decisions. Market research is another way of obtaining feedback and information from employees and external target groups.

Types of Feedback may be **positive** or **negative**:

Positive feedback occurs when the receiver receives the desired response based on a clear understanding of the symbols used in the message.

Negative feedback occurs when there is an undesired response because of miscommunication. In some cases, not getting feedback is also a sort of feedback.

For instance, complete silence on the part of the receiver is also an indicator of either effective communication (agreement) or a failure on the part of the communicator (inability to understand, dissent).

Observation of changes in the recipient's behaviour in face-to-face communication is a source of valuable feedback in cases where the receiver does not explicitly express his reaction. For instance, if a councillor gives a pep-talk to a depressed student and notices that he is more cheerful, relaxed and willing to talk on his next visit; he interprets this change as a positive response. Feedback may be either immediate or delayed. For example, oral responses are immediately conveyed but in case of written communication, the feedback may take some time.

1.4. Verbal communication

The **Verbal Communication** is a type of oral communication where the message is transmitted through the spoken words. Here the sender gives words to his feelings, thoughts, ideas and opinions and expresses them in the form of speeches, discussions, presentations, and conversations.

Verbal communication involves using speech to exchange information with others. You usually communicate verbally in face-to-face conversations. Meetings, interviews, conferences,

speeches, and phone calls are other forms of verbal communication. In business, you communicate verbally to exchange ideas, understand diverse points of view, and solve problems. Because verbal skills are among those most valued by employers, developing these skills will help you find jobs, advance your career, and improve your professional performance.

In verbal communication, or oral communication, one person sends a message to another person or group using speech.

Communication is successful only when the speaker and listener understand each other. Because the average person is exposed to thousands of messages every day, your message must rise above competing information to gain your listener's attention. After receiving the message, your listener must be able to interpret, or decode, its meaning. Effective communicators organize their messages so they are clear, logical, and easy for the listener to understand.

1.4.1. Tactics to deliver your messages and clarify their meaning:

- **Start with what your listener needs to know**

Your listener is most likely to remember the first and last parts of your message. Before you speak with someone, identify the purpose of your discussion, and shape that to be your main idea. Make sure your message is best delivered using spoken rather than written words.

- **Limit the amount of information**

People have a limited capacity to listen to and decipher a message, especially if they are distracted by noisy surroundings, interruptions, or other communication obstacles.

Packing too much information into a conversation can leave your listeners confused or remembering only part of what you said. Limit the amount of information you convey in a single interaction.

- **Eliminate unnecessary words**

It can take more concentration to understand spoken words than written ones. When you use complicated language or unnecessary words, you make it more difficult for your listener to interpret what you are saying. Use simple sentences, and avoid technical language and jargon whenever possible.

- **Make your messages relevant to your listener**

Although it is natural to discuss subjects you consider important, if your listener has different interests or priorities, your message might not be well received. Frame your ideas so they are

relevant to the other person. Adopt the point of view of your listeners, and then explain or show how your subject is important to them and how they can benefit.

- **Take a direct approach**

Your listeners have to manage several tasks as they listen to you. They must pay attention to what you are saying, interpret your nonverbal signals, ignore noise and other distractions, and make sense of the incoming information.

Listeners can understand your messages if they are clear and consistent with your body language. Use a direct approach by introducing your subject, explaining what you want, and identifying your expectations. Be polite and tactful, but don't make your audience guess what you mean.

- **Pause occasionally**

Your listeners need time to process incoming information. As you communicate, include brief pauses so your audience can absorb your message, especially when you've made an important point, requested action, or are preparing to introduce a new subject. Use these short breaks to review their body language and gauge their understanding. However, avoid long pauses, which can make your listener feel uncomfortable.

1.4.2. How to use verbal/vocal elements effectively

In a conversation, your voice is the medium, or channel, you use to communicate with others. People not only listen to the words you say, but the way you say them—the vocal elements of your speech. Vocal elements include voice inflections, rate of speech, volume, and tone, and can add interest and meaning to your messages. Using vocal elements that are appropriate for your purpose and audience can make your words more appealing and powerful, causing others to pay attention to what you say.

You have a good idea of what you want to say during your short presentation at the career fair. (Juan Ramirez) suggests you also rehearse how to use vocal techniques effectively.

1. Change the speed of your voice

People who consistently speak at the same pace tend to be dull and ineffective communicators. Those who vary the rate of their spoken words are more interesting. In addition, the rate of your

speech signals how listeners should interpret your words. Speak quickly and use an enthusiastic tone to excite your listeners. Speak slowly when you want your audience to absorb your words or anticipate the next idea.

2. Shift the pitch of your voice

Voice pitch is the frequency of speech. Both high and low pitches are useful at times, though you should not take either to an extreme.

Raising the pitch of your voice signals uncertainty or suggests a question. Lowering the pitch gives your voice a more authoritative and influential character.

3. Control the volume of your voice

The volume of your voice affects your listeners' ability to hear and understand you. Speak loud enough so that your audience can hear you comfortably. If your volume is much louder, your voice might annoy your listener and disturb others. Speaking too softly makes your words hard to hear and communicates timidity and submissiveness.

4. Punctuate with pauses

Effective speakers pause occasionally to break up the flow of information and let listeners process and understand what was said. A good time to pause briefly is after you've made an important point or concluded an idea. You can also use pauses to create anticipation.

5. Articulate clearly

To improve your listeners' understanding, clearly enunciate each sentence, phrase, and word. You can improve your pronunciation through conscious practice. When you speak clearly, you convey competence, confidence, and intelligence.

1.4.3. Understanding Non verbal Language

Besides words and tone, nonverbal cues contribute to the spoken communication process. Body language and non verbal signals add meaning to your message. Non verbal language includes hand and arm gestures, eye contact and movement, facial expressions, the position of your body, and your overall appearance. Your audience perceives non verbal language as part of your

message, and uses it to determine how to interpret your words. Being more aware of body language and non verbal cues will help you be a more effective listener and speaker.

1.4.4. Indicators / pointers about your body language and non verbal communication:

- ✓ **Maintain eye contact:** Eye movements send signals that help regulate the flow of information between people. Your eyes can show interest, understanding, happiness, confusion, anxiety, and fear.

Make eye contact to establish credibility and show you are engaged with your audience. People trust you when you look directly at them as you speak, and are skeptical if you don't maintain eye contact.

- ✓ **Present pleasant facial expressions:** The human smile is a powerful cue that transmits messages including friendliness, happiness, warmth, and acceptance. If you smile frequently when you are talking with others, they perceive you as approachable, appealing, and friendly. They are also likely to react positively to your message and remember what you say. A frown or grimace also sends a powerful message, though it is usually negative.

- ✓ **Gesture appropriately:** People usually move their arms, hands, and fingers when they speak. Effective communicators use physical gestures to emphasize important points. When properly used, gestures can enliven and animate what you say and help to communicate your enthusiasm and sincerity. If you do not move at all when you speak, others might perceive you as boring or tense.

- ✓ **Maintain good posture:** Your posture is your body's position when you are sitting, standing, or walking, and it communicates your mood, attitude, and interest in a topic. When communicating with others sit or stand with an erect (but not stiff) posture, which sends a message of confidence and competence. Lean slightly towards your listener to show you are receptive and interested in what they have to say.

Avoid speaking when your back is turned or you are distracted with another task because this signals disinterest and insincerity.

- ✓ **Keep your distance:** In communication, proximity is how physically close you are to your audience. Maintaining appropriate proximity is an important part of verbal communication. People expect you to respect their personal space and feel uncomfortable if you intrude on it. Appropriate proximity is affected by the relationship you have with the listener, the type of communication (intimate, friendly, professional, or public speaking), and your cultural norms.

If you notice signs of discomfort that suggest you've moved into your listener's space, immediately increase the distance between you and your listener.

1.5. Visual Communication

Visual communication is the transmission of information and ideas using symbols and imagery. It is one of three main types of communication, along with verbal communication (speaking) and non-verbal communication (tone, body language, etc.). Visual communication is believed to be the type that people rely on most, and it includes signs, graphic designs, films, typography, and countless other examples.

1.5.1. Communicating with Images

Given how broad a category visual communication is, it is somewhat difficult to trace its history. Nevertheless, there is evidence to suggest that it is the oldest form of communication. For example, in regions around the world, there are cave paintings from thousands of years ago, some dating back as far as 40,000 years. **Cave paintings** are a primitive form of communication that were drawn or etched into cave walls and ceilings.

As societies became more advanced, travel brought people that spoke different languages into contact with each other. In order to communicate, people developed pictograms around the 4th millennium BC as a way to communicate. **Pictograms** are images that represent physical objects and were used to share ideas or ask questions. When people began printing with woodblocks around the year 600, the ability to communicate visually blew wide open.

The printed word and other symbols allowed for ideas and information to be reproduced, shared, and preserved in a non-verbal way. Once these documents were translated into other languages, they were capable of travelling around the world.

1.5.2. Semiotics

In an academic context, the study of symbols and visual communications is called **semiotics**. Broadly, the purpose of semiotics is to analyse how people make meaning out of symbols, and how those symbols are interpreted. A basic example would be like the one made earlier about a tree: why do we look at a picture and automatically know that it means tree? This is primarily because people learn through society and culture what the word 'tree' means, which they then associate with the object and is ultimately recognized in the picture.

1.5.3. Characteristics of visual communications are:

- ✓ **Immediate:** Studies have shown that the human brain decipher images almost simultaneously while language is decoded in a linear, sequential manner that takes more time to process. Perhaps that's why children look and recognize long before they can speak. By some measures, visuals are processed 60,000 times faster than text!
- ✓ **Memorable:** Researchers note that words are processed by our short-term memory where we can only readily retain about seven bits of information, plus or minus a few. On the other hand, images proceed directly into your long-term memory where they're often indelibly "etched." No wonder that it's much more difficult to describe a circle than to show one!
- ✓ **Evocative:** Much more so than text, visuals affect us emotionally. For example, research shows that exposure to the color red can heighten our pulse and breathing rate – making it no coincidence that "sale" and "special" retail signs are almost always that particular type, not to mention stop signs and red lights! Graphics and especially photos can elicit even stronger responses than color.
- ✓ **Persuasive:** In one example, academics who study visual aids conducted research on the use of graphics in presentations found that those who employ visuals are 43% more effective in persuading audience members to take a desired course of action than presenters who don't. In fact, visuals are no longer optional for most viewers!
The same researchers discovered that audiences fully expect presenters to include professional, high-quality visuals.
- ✓ **Credible:** That old saying "**Seeing is believing**" is largely true. In one signature study, a university asked 2,440 participants how they evaluated the credibility of the web sites

they were shown. Nearly half (46.1%) said that the site's design or look was the single most important criterion for discerning the credibility of the presented material.

- ✓ **Powerful:** More ubiquitous than ever before, visual communications do what text alone cannot do – affecting us both cognitively and emotionally. As some of the research noted above underscores, graphics can expedite and increase our level of comprehension, recollection and retention. And, on an emotional basis, pictures can enhance or affect our emotions, attitudes and imagination.

For these reasons, it's no wonder that marketers from giant multinationals to mom-and-pop corner stores have made visual communications the bedrock upon which they brand, sell and inform

1.6. Promotion Mix

Companies must allocate the marketing communications budget over the **eight major modes** of communication:-advertising, sales promotion, public relations and publicity, events and experiences, direct marketing, interactive marketing, word-of-mouth marketing, and the sales force. Within the same industry, companies can differ considerably in their media and channel choices. Avon concentrates its promotional funds on personal selling, whereas Revlon spends heavily on advertising. Electrolux spent heavily on a door-to-door sales force for years, whereas Hoover has relied more on advertising. "Break through Marketing: Ocean Spray" shows how that company has used a variety of communication vehicles to turn their sales fortunes around.

Companies are always searching for ways to gain efficiency by replacing one communications tool with others.

Many companies are replacing some field sales activity with ads, direct mail, and telemarketing. One auto dealer dismissed his five salespeople and cut prices, and sales exploded. The substitutability among communications tools explains why marketing functions need to be coordinated.

1.6.1. Characteristics of the Marketing Communications Mix

Each communication tool has its own unique characteristics and costs, these are:

Advertising: advertising reaches geographically dispersed buyers. It can build up a long term image for a product (Coca-Cola ads) or trigger quick sales (a Sears ad for a weekend sale). Certain forms of advertising such as TV can require a large budget, whereas other forms such as newspaper do not. Just the presence of advertising might have an effect on sales: Consumers

might believe that a heavily advertised brand must offer "good value." Because of the many forms and uses of advertising, it's difficult to make generalizations about it. Yet a few observations are worthwhile:

1. ***Pervasiveness***-Advertising permits the seller to repeat a message many times. It also allows the buyer to receive and compare the messages of various competitors. Large scale advertising says something positive about the seller's size, power, and success.
2. ***Amplified expressiveness***-Advertising provides opportunities for dramatizing the company and its products through the artful use of print, sound, and color.
3. ***Impersonality***-- The audience does not feel obligated to pay attention or respond to advertising. Advertising is a monologue in front of, not a dialogue with, the audience.

Sales Promotion: Companies use sales promotion tools-coupons; contests, premiums, and the like-to draw a stronger and quicker buyer response, including short-run effects such as highlighting product offers and boosting sagging sales. Sales promotion tools offer three distinctive benefits:

1. ***Communication***-They gain attention and may lead the consumer to the product.
2. ***Incentive***-They incorporate some concession, inducement, or contribution that gives value to the consumer.
3. ***Invitation***-They include a distinct invitation to engage in the transaction now.

Public Relation and Publicity: Marketers tend to underuse public relations, yet a well-thought-out program coordinated with the other communications-mix elements can be extremely effective, especially if a company needs to challenge consumers' misconceptions.

The appeal of public relations and publicity is based on three distinctive qualities:

1. ***High credibility***-News stories and features are more authentic and credible to readers than ads.
2. ***Ability to catch buyer's off-guard***-Public relations can reach prospects that prefer to avoid salespeople and advertisements.
3. ***Dramatization***-Public relations have the potential for dramatizing a company or product.

Events and Experiences: There are many advantages to events and experiences:

1. ***Relevant***-A well-chosen event or experience can be seen as highly relevant because the consumer gets personally involved.
2. ***Involving***-Given their live, real-time quality, events and experiences are more actively engaging for consumers.

3. ***Implicit***-Events are an indirect "soft sell."

Direct and Interactive Marketing: Direct and interactive marketing takes many forms-over the phone, online, or in person. They share three distinctive characteristics. Direct and interactive marketing messages are:

1. ***Customized***-The message can be prepared to appeal to the addressed individual.

2. ***Up-to-date***-A message can be prepared very quickly.

3. ***Interactive***-The message can be changed depending on the person's response.

Word of Mouth Marketing: Word of mouth also takes many forms online or off-line. Three noteworthy characteristics are:

1. ***Credible***-Because people trust others they know and respect word of mouth can be highly influential.

2. ***Personal***-Word of mouth can be a very intimate dialogue that reflects personal facts, opinions, and experiences.

3. ***Timely***-It occurs when people want it to and when they are most interested, and it often follows noteworthy or meaningful events or experiences.

Personal Selling: Personal selling is the most effective tool at later stages of the buying process, particularly in building up buyer preference, conviction, and action. Personal selling has three distinctive qualities:

1. ***Personal interaction***-Personal selling creates an immediate and interactive episode between two or more persons. Each party is able to observe the other's reactions.

2. ***Cultivation***-Personal selling also permits all kinds of relationships to spring up, ranging from a matter-of-fact selling relationship to a deep personal friendship.

3. ***Response***-The buyer may feel under some obligation for having listened to the sales talk.

1.7. Summary

Communication can be defined as the process of transmitting information and common understanding from one person to another (Keyton, 2011). The definition underscores the fact that unless a common understanding results from the exchange of information, there is no communication. Today there is a new view of communications as an interactive dialogue between the company and its customers that takes place during the pre-selling, selling, consuming, and post-consuming stages. Successful companies are asking not only "How can we

reach our customers?” but, in a break from the past, are also asking “How can our customers reach us?” Now sellers use a variety of communication platforms to stay in touch with customers. Increasingly, it is the newer technologies, such as the Internet, that have encouraged more firms to move from mass communication to more targeted communication and one-to-one dialogue with customers and other stakeholders.

There are eight steps to follow in developing an effective marketing communications program: (1) identify the target audience, (2) determine the communication objectives, (3) design the message, (4) select the communication channels, (5) establish the total communications budget, (6) decide on the communications mix, (7) measure the communications’ results, and (8) manage the integrated marketing communication process.

1.8. Check Your Progress Exercise

1. Which of the following tactics can be used to deliver your messages and clarify their meaning especially in very distracted and noisy surroundings?

- A) Pause occasionally
- B) Use direct approach
- C) Eliminating unnecessary information
- D) Limit information load

2. The following is an effective communication element to use vocal technique in the same rate/pace of speech...,

- A) Shift the pitch of your voice
- B) Punctuate with pauses
- C) Change the speed of your voice
- D) Articulate clearly

3. Which of the following basic element of communication that interpreted the message based on the context?

- A) Message sender
- B) Message encoder
- C) Message decoder
- D) Message receiver

4. The indicators of your body languages or non verbal communication where a person moves their arms, hands, and fingers are:

- A) Gesture expression
- B) Facial Expression
- C) Maintain good posture
- D) Eye movement

1. What are the main differences in between verbal and non verbal communication process?

2. All promotion techniques are based on communication process: list and discuss the four basic elements of communication.

3. What are the characteristics of marketing communication mix? List and discuss their unique characteristics.

Answer to Check Your Progress Exercise

Multiple Choices: 1.D 2. C 3. C 4. A

Discussion: Question 1. Refer, Sub title verbal communication 1.4 Question 2. Refer, Sub title elements of communication 1.2 Question 3. Refer Sub title characteristics of marketing communication.

UNIT TWO: ADVERTISING MANAGEMENT

Contents:

- 2.1. Aims and objectives
- 2.2. Definition, Classification
 - 2.1.1. The standard definition of advertising includes six main elements:
 - 2.1.2. Classification of advertising
 - 2.1.3. Functions of Advertising
- 2.2. Nature of Advertising and Evolution
 - 2.2.1. The role of Advertising
- 2.3. Advertising ethics
 - 2.3.1. Advertising and the Importance of Ethical Values
 - 2.3.2. Ethical Values in Advertising
- 2.4. Purpose of advertising
 - 2.4.1. The nine main features of advertising:
 - 2.4.2. Advantages of Advertising
 - 2.4.3. The benefits of advertising for consumers:
- 3.1. Summary
- 3.2. Check your progress exercises

2.0. Aims and objectives

The aim of this unit is to present the main purposes / importance of advertising and ethical values benefits of advertising in communication. By the time you finish this unit you should be able to:

- define what functions and evolution of communication is:

- identify ethical values, the role of advertising activities
- identify the purpose and feature of advertising
- understand the advantages, benefits of advertising for manufacturers, and consumers
- identify the moral acts and internationally accepted ethical principles.

2.1. Definition, Classification

Advertising forms one component of the promotion mix. It has become very popular and useful and has reached the status of an independent discipline. It has grown at a very fast pace and has become a special field of study.

Advertising has been derived from the Latin word 'Adverto' which means to turn around, to draw attention to any subject or purpose. **Advertising** is any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor (Philip Kotler).

Advertising is a paid and non-personal form of presentation and promotion of ideas, goods or services by an identified sponsor. There is also an identified Media and message behind every advertisement. The advertiser tries to spread his message and ideas to the prospective customers and diffuse information into them. By this method, he tries to popularize the products/services which are the basic aim of the activity.

Advertising is impersonal communication of information about products, services or ideas through the various media, and it is usually persuasive by nature and paid by identified sponsors (Bovee, 1992).

2.1.1. The standard definition of advertising includes six main elements:

1. Paid form of communication.
2. The presence of an identified sponsor.
3. Distribution through the media.

4. The presence of a specific audience for treatment.

5. Lack of personalization of distributed information.

6. Aimed action. From this it follows that advertising is usually a non-personalized form of communication, paid by an identified sponsor, implemented in a certain way through the media and other legal means and aimed to familiarize with some products and its further acquisition by possibly large audience of consumers.

2.1.2. Classification of Advertising

Since advertising is a sophisticated product for a variety of consumer groups, and is used to implement a wide range of functions, it is not so simple to classify it. It is possible to divide advertising into 8 main categories:

1. By target market segmentation. In this case, it should be clarified that the segmentation is a division of the consumer audience on segments by typical social, professional and other features. The more specific product or service is the narrower is the segment of the audience, among which they can be advertised.

2. By target impact – commercial (goods and services) and noncommercial (political and social). Commercial advertising is used to create, maintain and increase the demand of certain products, creating the best conditions for sale. Noncommercial advertising can be used to attract attention and create a positive image of an entrepreneur or an enterprise.

3. By distribution area - global, national, regional, and local. Global advertising is a rapid development of economic globalization in general: interactive videos, world radio and satellite TV, the Internet and other latest communication tools.

4. By the way of transmission - printed, electronic, outdoor advertising. (Sandage, 2001).

5. By the method implementation - textual, visual. Textual advertising is divided into simple and complex, and visual into statistical and dynamic. Simple text advertising is a regular wall advertisement.

Complex text advertising includes a set of basic components - title, subtitle, main text module, slogan, etc. As an example of statistical advertising can be an appropriate photographic image or picture, and dynamic advertising such as video, computer animation.

6. By the method of impact - direct and indirect. Direct advertising is an advertising that places us in front of the fact: this is the product, please buy it. Here is the price, phone number, etc. Indirect advertising is a phenomenon of a different kind. It operates almost on a subconscious level. So we do not even notice that we absorb the advertising information gradually.

7. By the method of addressing – an impersonal and personalized. Personalized advertising is represented by well-known personalities or experts of the advertised product, or consumers themselves.

8. By the method of payment – paid or free. Free advertising is rare. In the most cases it is a public or social advertising, not for commercial purposes. (Sandage, 2001).

2.1.3. Functions of Advertising

Here are four main functions of advertising:

1. Economical function. The nature of the economical function of advertising is first of all to stimulate sales and increase the volume of profits from the sale of a certain product for a certain unit of time. Advertising informs, creates the need for a product or service, and encourages people to purchase. The more people have responded to the ad, the better it is for the economy and the economic wellbeing of society.

2. Social function. Advertising information has a significant impact on the formation of the consciousness of each individual. When advertising is addressed to consumers, besides the promotion of a product, it also

- helps to form ideological values of the society and at the end has an effect on the character of social relations
- causes consumer instincts, encouraging people to improve their financial state
- Improves the culture of consumption. Comparing different products and services, the consumer, in any case, tends to get really the best.

3. Marketing function. Advertising is an important component of marketing. Advertising entirely connected to the tasks of marketing, whose final aim is the full satisfaction of customer needs concerning goods and services.

4. Communicating function. Advertising is also one of the specific forms of communication. It is designed to perform an appropriate communicating function, linking together advertisers and consumer audience by the means of information channels (Kotler, 2002).

2.2. Nature of Advertising and Evolution

Advertising is an important element of promotion mix and it is a process which gives information to the masses about products/services.

It is a paid publicity sponsored by the advertiser. It is a persuasion which is controlled and influences the target audience.

Its nature includes:

Mass communication: it informs not one person but a group of persons who may be the prospects of purchase.

The mass communication media includes radio, television, newspapers, magazine etc. Print media and audio and audio-visual media is extensively used.

Message: these are carriers of advertisement which inspires customers to purchase a product. Message writing or copy writing is an art and a lot of effort and money is put into it. The color, design, structure of the message is given great importance.

Advertising agency: undertakes the writing of the message and charges for the same. It helps the advertiser in all possible ways and integrates its effort with that of the company or the advertiser.

Sponsor: is a person who pays for the advertisement. He is identified and discloses the ideas, message and information to be advertised.

Persuasion: the message is persuasive and informative. It is creative as well. The message attracts the attention of the audience. It is an essential factor in advertising. It has also been dealt later in the book.

Control: the time, place, message and direction of advertising is controlled to make it effective and purposive. Advertisement can be controlled but publicity cannot.

Identifiable: the message and presentation should be recognized by receivers' and customers.

Target Group: advertising aims at a target group of audience, while framing an advertisement target groups are considered. However, it can reach both target and non-target groups.

2.2.1. The role of Advertising

Most firms, both large and small, use advertising in some form or the other. Advertisement

seldom produces direct sales. It is backed by other promotion mix elements like personal selling and sales promotion. Advertising produces a psychological effect and it can change the mental disposition of the audience, so that they purchase the advertised product.

Advertising is basically a form of communication and the basic responsibility of advertising is to deliver the information to the target audience.

The Role of advertisement can be understood as follows:

➤ **It stimulates demand.**

This stimulation is because of the availability of the product, discounts offered if any and the expectation of the fulfilment of latent and aroused needs.

➤ **It supports other promotion mix elements.**

It does pre-selling and helps the sales promotion and personal selling activities.

➤ **It counters competitive moves.**

By combining with other promotion elements it acts as a competitive weapon. It differentiates the company's offer from other products and builds a brand personality and image of its own.

➤ **It develops brand preference.**

When the products deliver the desired quality, service and value it creates a satisfied customer. With consistent advertising, the brand preference gets reinforced. The satisfied customers spread a favourable word of mouth and are an asset to the company.

➤ **It cuts cost**

By increasing sales, more units are produced and the cost of production comes down (economies of scale). Even the selling cost is decreased because there are a less number of wasted calls by the salesman. With lower prices offered by the company there is more penetration markets and more demand for the product.

➤ **It builds brand images**

Images are built in the minds of the consumer. There are positive images and are for different segments. A brand is a promise of a certain level of consistency, quality, service and other benefits like warranty etc. Manufacturers are proud of their brands and want to have greater brand equity for them. It communicates and imparts information to the consumers so that they are well informed and can make a good choice. Advertisement is a very fast and effective method of information and communication. It can reach a great number of audiences in short time.

➤ **Innovation**

It encourages innovation and new product development and reduces the risk of the product becoming obsolete. With more innovation there are more sales which offset the cost of innovation. Innovation leads to more sales and the business expands.

More employment is generated and the people become more prosperous and their standard of living improves:

- It informs about the price of a product.
- It gives information about the alternatives available to the purchaser.
- It gives information about the new offers and the discounts available to the purchaser.
- It helps in achieving the sales objectives and the communication objectives.
- It provides knowledge about product specification, about product features and product quality and the functions that a product can perform.

2.3. Advertising ethics

Ethics “is a branch of philosophy which searches, defends or criticizes human behavior, principles of it, judgments and rules on the morality ground”. Ethics means “Good Conduct” or “Conduct which is right in view of the society and the time period”. By common consent, various modes of behaviour and conduct are viewed as “good” or “bad”. In other word, we can say that Ethics are moral principles and values that govern the actions and decisions of an individual group. Ethics is a choice between good and bad, between right and wrong.

It is governed by a set of principles of morality at a given time and at a given place and in a given society. Ethics is related to group behaviour in ultimate analysis, thus setting norms for an individual to follow in consistence with the group norms.

2.3.1. Advertising and the Importance of Ethical Values

Ethics, defining good and bad, correct and incorrect looks for beauty and truthfulness with its principles. Mass media has a power to effect and manipulate society. For this reason, mass media should be used with the sense of responsibility and in accordance with judicial restriction. This is also valid for advertising which gives messages to society and tries to convince them.

The message of advertisement has no difference from news or comment on a paper or a program on TV.

The responsibility expected from mass media is a publishing sense in conformity with ethical values and judicial limits. In the advertising sector, it is understood primarily **personal** ethics then **organizational** ethics and **professional ethics** from ethics.

The same responsibility is also expected from the three advertisers.

A)The source of personal ethics is primarily individuals' conscience. Each advertiser should determine the positive and negative effects of advertising message for the social structure and humanity in his own conscience. If advertiser personally determines his own ethical values and presents his own ethical codes, it will be easier to determine organizational and professional ethical values (Yeygel, 2007:357).

B)The organizational ethics includes principles such as enabling to develop the same behaviour in legal employers and undertaking some social responsibilities while it is serving society. The organizational ethics has an important role in the advertising sector. If the relation between the advertising agency and the contractors is maintained with ethical values, an honest and a transparent relation could be established and this relation could be also more long-lasting. The advertising agency could easily refuse some requests of the contractors' if the agency is against its own ethical values.

C)The professional ethics is an overall principles created, protected and adopted by a specific occupational group concerning that occupation. The professional ethical principles restrict personal tendency and expect a specific behavioural pattern from the professionalisms'. Also, if some of them do not adopt this behaviour, the principles exclude them and manage the competition.

The professional ethical principle is a really special control mechanism developing aside from judicial restrictions and sanctions against advertising and it also aims to carry out controlling in

each profession. It could be easily prevented to act illegally if the professional ethical principles are followed properly and adopted. When the professional ethical principles are followed, legal activity will be carried out and illegal activities will be prevented. The most ideal behaviour in the advertising sector is acting with ethical values through the occupational organizations rather than occupational sanctions.

2.3.2. Ethical Values in Advertising

Creating advertising ethical principles has become an obligatory as there are dishonest and misleading messages in advertisements and consumers criticize the context of the advertisements. These ethical principles have been created by the contractors, advertisers and media representatives. The demands of foundations and organizations representing the consumers have been considered.

In this sense; American Advertising Federation, American Advertising Standards Alliance and similar organizations have determined the ethical principles in advertising. International Code of Advertising Practice which has been re-edited and developed constantly until now has been adopted in Turkey (Çelik, 2013:156).

The ethical principles in International Code of Advertising Practice includes important topics such as **morality, honesty, truthfulness, social responsibility, protecting children and young, sensitivity in environment and health, protecting the consumers and respect for personal rights**. It would be wrong to understand that these ethical principles are attempts to restrict the distinctiveness and freedom of advertising.

The ethical principles never aim to press over the contractor or advertiser or impose on them. On contrary, these principles aim to increase the success of advertising by enabling the creation of advertising proper to ethical principles and moral values.

Conformances of advertisings with the ethical principles or rule of law are perceived positively by the consumers and so this increases the brand value and prestige. We could understand how the basic principles of International Code of Advertising Practice are important by discussing the context shortly:

Morality: According to International Code of Advertising Practice, the expression verbal and visual elements against general moral principles should not be used in advertising.

The moral distinctive perception and social sensitivity should be also considered. It is thought against the ethical principles to give messages to the target audience by abusing the moral values.

Honesty and Truthfulness: Advertisements should be so framed as not to abuse the trust of consumers or exploit their lack of experience or knowledge. The elements affecting the purchase decision of consumers should be presented in proper time and way to the consumers. Advertisements should be truthful and have never misleading messages.

In advertisements, the expressions, sounds and visuals which might mislead the consumers directly or indirectly by lack of information, creating ambiguity or claiming exaggerated messages could not be used. The principle of honesty and truthfulness are really important in advertisement as the consumers firstly expect trust from the brands. The image and prestige of brands will be damaged by abusing the trust of consumers.

Social Responsibility: Advertisements should not give any message including form of discrimination, including that based upon race, national origin, religion, sex, age, social and economic status or disability nor should they in any way undermine human dignity. Advertisements should not without justifiable reason play on fear, appear to condone or incite violence, nor abuse the suffering of people. As it is seen, the ethical principles remind the important social responsibilities of advertisers and underline that they not only sell a good or service but also protect the society.

Children and young people: Children and young people should not be presented in activities harmful both for themselves or others. There should not be presented in any incentive negative behavior in advertisements addressed to the children. Advertisements should not exploit the inexperience or lack of information of children and young people and the imagination and reality should be recognized easily. The ethical principles give great importance to protect children and young people who are one of the big target groups and prevent giving message by exploiting them.

Consumer rights: The ethical principles have various provisions about respecting the consumer rights. The ethical principles request to protect consumer rights and underline not to force consumers to do any activity under coercion, non-use of the personal information without permission and delivering unwanted products.

Respect of self-regulatory decisions: No advertiser, advertising practitioner or agency, publisher, medium-owner or contractor should be party to the publication or distribution of any

advertisement or marketing communication which has been found unacceptable by the appropriate self-regulatory body and should not mediate. International Code of Advertising Practice, as it is seen, underlines to follow the decisions taken by self-regulatory boards among the ethical principles and points the importance of self-regulatory. Self-regulatory is the single control mechanism protecting freedom and distinctiveness of the advertising sector.

When the self-regulatory decisions are followed there will not be immorality or violation of the rule of law. In advertisements, it will make great contributions controlling itself with the self-regulatory mechanism.

2.4. Purpose of advertising

[Advertising](#) facilitates large-scale [marketing](#). It is a medium of mass communication. Manufacturers supply information about new products through it. The fact that the companies spending millions of dollars on it, through TV, radio, the internet, and newspapers indicate its benefits in sales-promotion. Advertising is within the scope of a promotion, which is one element in the marketing mix.

It is getting popularity in the present highly competitive and consumer-oriented marketing. All products old and new, consumer and durable, cheap and costly need extensive advertising for sales promotion and customer support. Latest communication techniques now are used for making it more attractive and agreeable.

Four main purpose of advertising is to:

- I) Give information,
- II) Attract attention,
- III) Create awareness, and
- IV) Influence the buying behaviour of consumers.

Features of Advertising

2.4.1. The nine main features of advertising:

1. Provides information: Advertising's primary purpose is to provide information about products or services to prospective buyers. The details of products such as features, uses, prices, benefits, manufacturer's name, so on; are in the advertisements.

The key message and brand name are also there. The information supplied educates and guide consumers and facilitate them to make a correct choice while buying a product.

2. Paid communication: Advertising is a form of paid communication. The advertiser pays to the media for giving publicity to his AD message. He also decides the size, slogan, etc. given in the advertisement.

3. Non-personal presentation: Advertising is non-personal in character as against salesmanship, which is a personal or face to face communication.

Here, the message is given to all and not to one specific individual. This rule is applicable to all media including the press. However, even in it, target consumers or target market can be selected for making an AD appeal.

4. Publicity: Advertising publicizes goods, services, ideas and event events. It is primarily for giving information to consumers. This information is related to the features and benefits of goods and services of different types. It offers new ideas to customers as its contents are meaningful. The aim is to make the popularize ideas and thereby promote sales. For example, an advertisement for family planning, family welfare, and life insurance is useful for placing new ideas before the people.

5. Primarily for Persuasion: Advertising aims at the persuasion of potential customers. It attracts attention towards a particular product, creates a desire to have it, and finally induces consumers to visit the market and purchase the same. It has a psychological impact on consumers. It influences their buying decisions.

6. Target oriented: Advertising becomes effective and result-oriented when it is target oriented. A targeted advertisement intensively focuses on a specific market or particular groups of customers (like teenagers, housewives, infants, children, etc.). Here, the selection of a particular market is called a target market.

7. Art, science and profession: Advertising is art, science and a profession, and this is now universally accepted. It is an art as it needs creativity for raising its effectiveness. It is a science as it has its principles or rules. It is also a profession as it has a code of conduct for its members and operates within standards set by its organized bodies. In its field, AD Agencies and space brokers function as professionals.

8. The element of a marketing mix: Advertising is an important part of a marketing mix. It supports the sales promotion efforts of the manufacturer. It makes a positive contribution to sales promotion provided other elements in the marketing mix are reasonably favourable.

It is alone inadequate for promoting sales. Many companies now spend huge funds on advertisements and public relations.

Creativity: Advertising is a method of presenting a product in an artistic, attractive and agreeable manner. It is possible through the element of creativity. The creative people (professionals) introduce creativity in advertisements. Without it, the Ads won't succeed. Therefore, creativity is called the 'Essence of Advertising.'

2.4.2. Advantages of Advertising

The advertising benefits two main groups, namely: **Manufacturers**, and **Consumers**.

The benefits of advertising for manufacturers:

- 1. Large-scale production and marketing:** Advertising is useful as a sales promotion technique. It gives information to consumers and encourages them to purchase more. Manufacturers expand their production base due to a higher market demand created through advertisements.
- 2. Introducing new products:** Advertising facilitates the introduction of new products. Due to it, information about new products is given to the people (prospects). A demand generates because of this, and the manufacturer can sell new products along with the existing ones.
- 3. Creates new demand:** Advertising spreads information and encourages consumers to purchase new products. It creates a new demand. Customers are offered various concession in the initial period. It generates positive responses from them, and soon new customers also respond. Thus, advertisement creates new demand from non-users.
- 4. Effective personal selling:** Advertising creates a proper background for personal selling. It gives advance information to the prospects. They visit the shop in order to purchase a particular product that they know through advertisements in media. The job of a salesman becomes easy as consumers develop an affinity for advertised products. In brief, it supports and supplements personal selling.
- 5. Builds brand image:** Advertising build brand image and this develops consumer loyalty towards a specific brand.

Manufacturers introduce branding to popularize their products with a distinct personality. Brands get popular through advertisements. As a result, buyers develop loyalty towards a specific brand.

6. **Reduces cost of production:** Advertising creates demand and promotes sales. It enables a manufacturer to conduct production on a large scale. It leads to a reduction in the cost of production and distribution. As a result, the profit margin of the manufacturer increases.
7. **Facing competition:** Advertising aids a manufacturer to deal with market competition effectively. It helps him to promote and popularize his products. He can remove misunderstanding among consumers about his products through appropriate advertisements.
8. **Sales promotion:** A manufacturer can make his sales promotion campaign successful by using the support of advertising. He can prepare a proper background for the success of such an ad-campaign as it facilitates direct communication with consumers.
9. **Goodwill builder:** A manufacturer can build up goodwill in the business world and also among the group of customers through advertising.

The social welfare programs and community service activities can get wide publicity through advertisements. The public can notice even the progress of the organization through it.

2.4.3. The benefits of advertising for consumers:

1. **Information and guide:** Consumers get information and guidance from advertising. They can study the advertisements of competitors and select the appropriate products that are best suited and profitable to them. It helps to avoid their cheating and exploitation at the hands of middlemen.
2. **Acts as a reminder:** Advertising act as a reminder to consumers and alerts them about the urgent product they need to purchase.
3. **Attracts customers:** Advertising leads to competition among manufacturers and retailers. They have to offer something special in order to attract buyers. Such attraction offers benefits to consumers. For example, manufacturers have to bring down the price in

order to attract customers. They have to supply quality goods in order to attract them more. All this is beneficial to consumers in terms of price and quality of goods.

4. **Raises living standards:** Advertising raises the standard of living of people by supplying information about goods and services, which can offer convenience and pleasure to them. It guides consumers in the selection of most suitable products for their daily life. Thus, it provides a higher standard of living to consumers as a social group.
5. **Efficient product use:** Consumers get information about uses or benefits of different products through advertising. They also get guidance as regards the right manner of using the product and helps to avoid any possible damage from the use of a purchased product. The information supplied through advertisements helps to know how to use a product in different ways.
6. **Removes misunderstanding:** Advertising helps most consumers in removing their misunderstanding about certain products. They change their attitudes towards products and services due to it.

2.5. Summary

Advertising, broadly defined as messages primarily intended to persuade audience members to purchase particular goods and services, is an essential element of any commercial broadcast media organization. These organizations, which present their programming on television, radio or the Internet, rely heavily on advertising revenue to fund their operations. They also depend on advertising to publicize their own product – TV and radio programming -- as well as any Internet content they provide. The advent and rapid growth of the Internet has prompted many advertisers to shift a portion of their advertising budget to that medium, sparking a lively debate in the broadcasting industry over new ways to generate revenue.

Advertisement is the information distributed in any way, in any form or by any means, addressed to an uncertain number of people and aimed at attracting attention to the subject of advertising, the establishment or maintenance of interest in it and its promotion on the market. Functions of Advertising There are four main functions of advertising: 1. Economical function. The nature of the economical function of advertising is first of all to stimulate sales and increase the volume of profits from the sale of a certain product for a certain unit of time. 2. Social function. Advertising

information has a significant impact on the formation of the consciousness of each individual. 3. Marketing function. Ethics “is a branch of philosophy which searches, defends or criticizes human behavior, principles of it, judgments and rules on the morality ground”.

Ethics, pointing ideal; abstract one and searching moral principles and values is also defined as an art determining correct or good one. Mass media has a power to effect and manipulate society.

For this reason, mass media should be used with the sense of responsibility and in accordance with judicial restriction. This is also valid for advertising which gives messages to society and tries to convince them.

2.6. Check Your Progress Exercise

1. Which of the following is wrong among others in relation to the classification of advertising?

- A) Classification by target impact C) Classification by distribution area
B) Classification by size of the company D) Classification by the way of transmission

2. The function of advertising that has significant impact on formation of the consciousness of individuals?

- A) Economic function B) Social function C) Marketing function D) Communication function

3. The nature of advertising includes a party who identifies and discloses the idea message and information to be advertised.

- A) Advertising agency B Message decoder C) Persuasion D) non of the above

4. What are the followings are not the advantages of advertising in manufacturers:

- A) Introducing new products C) Creates new demand
B) Acts as reminder D) Effective personal selling

1. What are the main features of advertising and evolution? List and discuss each element.

2. Advertising is the most important communication tool in business environment. List and discuss the major roles of advertising?

3. What do we mean by ethical values in advertising? Explain ethical principles and code of ethics?

Answer to Check Your Progress Exercise

Multiple Choices: 1.D 2. B 3. D 4. B

Discussion: Question 1. Refer, Sub title Nature of advertising 2.2.

Question 2. Refer, Sub title the role of advertising 2.2.1

Question 3. Refer Sub title Ethical value in advertising. 2.2.3.

UNIT THREE: ORGANIZATION OF ADVERTISING

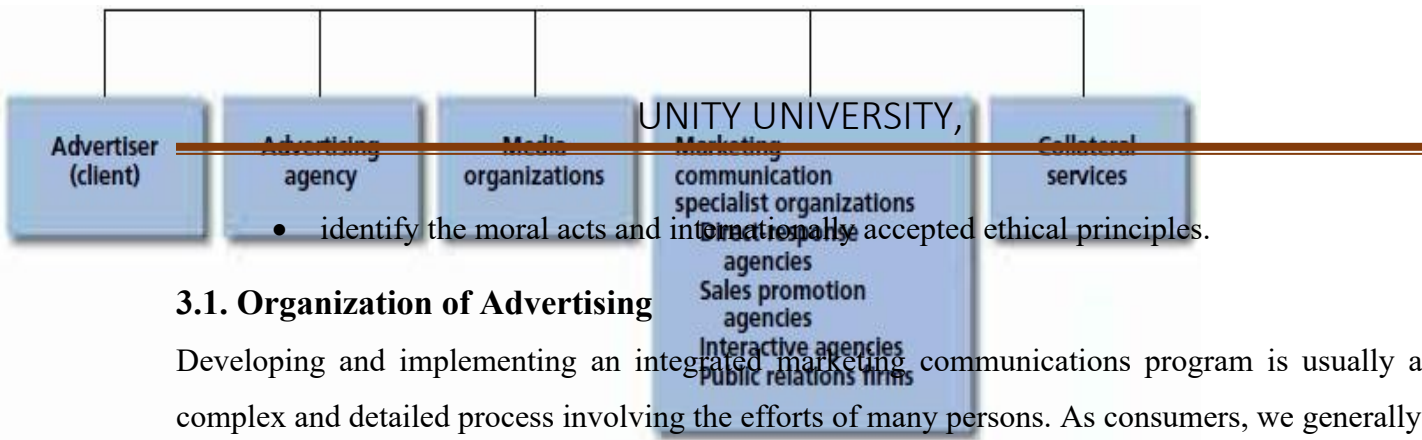
Contents:

- 3.0 Aims and objectives
- 3.1 Organization of Advertising
 - 3.1.1. Types of ad agencies
 - 3.1.2. Role of an advertising agency
 - 3.1.3. Organizing for advertising
- 3.2. How does an advertising agency work?
 - 3.2.1. Departments Ad agencies:
- 3.3 Media and related advertising organization
- 3.4 Deciding on the Advertising Budget
- 3.5. Summary
- 3.6 Check your progress exercises

3.0. Aims and objectives

The aim of this unit is to present how advertising agency developed, what are the role, and types of advertising agencies, how media and other related advertising organizations works. By the time you finish this unit you should be able to:

- define what advertising agency and its role in business:
- identify the types of advertising agency and its contribution
- identify how advertising developed and works
- understand the advantages, benefits of advertising for manufacturers, and consumers



3.1. Organization of Advertising

Developing and implementing an integrated marketing communications program is usually a complex and detailed process involving the efforts of many persons. As consumers, we generally give little thought to the individuals or organizations that create the clever advertisements that capture our attention or the contests or sweepstakes we hope to win.

But for those involved in the marketing process, it is important to understand the nature of the industry and the structure and functions of the organizations involved. As can be seen from the opening vignette, the advertising and promotions business is changing as marketers search for better ways to communicate with their customers.

These changes are impacting the way marketers organize for marketing communications, as well as their relationships with advertising agencies and other communication specialists. Many major companies use an advertising agency to assist them in developing, preparing, and executing their promotional programs. An ad agency is a service organization that specializes in planning and executing advertising programs for its clients.

An advertising agency or ad agency is a service business dedicated to creating, planning and handling advertising (and sometimes other forms of promotion) for its clients. An ad agency is independent from the client and provides an outside point of view to the effort of selling the client's products or services. An agency can also handle overall marketing and branding strategies and sales promotions for its clients. An advertising agency is an independent organization of creative people and business people who specialize in developing and preparing advertising plans, advertisements, and other promotional tools for the advertisers.

Fig. 2.1.Participants in the advertising (IMC) process

3.1.1. Types of ad agencies

Here are basically five types of ad agencies. They are:

1)Full-service advertising agency: A full-service advertising agency is generally a big size advertising agency having all departments, specialized people heading each department and numbers of subordinates under them.

It has almost all major departments like – client servicing, account planning, copywriting, art direction, creative studio and production, media planning and buying, accounts etc. All big renowned advertising agencies are generally full-service advertising agencies.

2)Creative boutiques: Advertising agencies specialized in creative work are commonly known as creative boutiques. These agencies are not responsible for client handling, campaign strategy planning or media planning; they are solely responsible for the creative idea and its execution. Such agencies are relatively small and have only a few creative people like – copywriters, art directors, creative heads.

3)Media Buying Agency: Media buying agencies are specialized in media planning, scheduling and buying. Such agencies are also known as agency of record (AOR). These agencies plan and select media, schedule advertisement release dates and time, and then buy media space/time from the publications/television or radio channels.

4)Interactive Agency: Interactive agencies are those advertising agencies which specialize in digital new-age media of advertising communication. Such agencies prepare internet advertisements, SMS advertisements, viral advertisements etc. Such advertisements are relatively new, highly interactive, innovative and challenging.

5)In-house Agency: Some big companies prefer to have their own in-house advertising agencies. Such in-house agencies solely work for the owner company, and not any other client. These agencies apparently look like any other full-service agency, but they work solely for the owner company. Such agencies are relatively small in terms of manpower. These in-house

agencies are responsible for all advertising and marketing communication activities of the company. Many big consumer durable companies have in-house agencies.

6)Media organizations:

In addition to the above participants, media organizations are another major participant in the advertising and promotions process. The primary function of most media is to provide information or entertainment to their subscribers, viewers, or readers.

But from the perspective of the promotional planner, the purpose of media is to provide an environment for the firm's marketing communications message. The media must have editorial or program content that attracts consumers so that advertisers and their agencies will want to buy time or space with them.

3.1.2. Role of an advertising agency

Professionals at advertising agencies and other advertising organizations offer a number of functions including:

- Creating an advertise on the basis of information gathered about product
- Doing research on the company and the product and reactions of the customers.
- Planning for type of media to be used, when and where to be used, and for how much time to be used.
- Taking the feedbacks from the clients as well as the customers and then deciding the further line of action.

Other major role of advertising agency includes:

- | | |
|---------------------------------|-----------------------------------|
| -Media Planning/Buying | -Direct marketing |
| -Creative Development | -Digital Branding/Web development |
| -Graphic Design | -Sales Promotion/collateral |
| -Corporate Identity Development | -Customer relationship |
| -Public Relations Management | - Brand Consulting |

Understand the Product / Company: An advertising agency begins by getting well acquainted with the client's goals, products & target audience. This knowledge proves beneficial in planning and creating an effective advertising campaign.

Plan & Create an Advertising Campaign: Once an advertising agency understands its clients' needs, the process of brainstorming and planning begins. Keeping in mind the client's goals which can range from:

- pushing sales of its products and services
- introducing new products in the market
- reiterating its brand's benefits
- attracting new customers or keeping in touch with old ones

3.1.3. Organizing for advertising

Different organizations handle advertising in different ways. In small and medium-sized companies, advertising might be handled by someone in the sales or marketing department. Large companies might set up advertising departments whose job it is to set the advertising budget, work with the ad agency and handle dealer displays and other advertising not done by the agency. Most companies, small or large, tend to use outside advertising agencies because they offer several **advantages**;

- Agencies have specialists who can perform specialist functions (e.g. research, creative work) better than a company's own staff.
- Agencies bring an outside point of view to solving a company's problems, together with years of experience from working with different clients and situations.
- Agencies have more buying power in media than the firm. They are also paid partly from media discount, which would cost the firm less.

There are **disadvantages** in relinquishing the advertising function to an outside agency:

- loss of total control of the advertising process,
- a reduction in flexibility,
- conflicts arising when the agency dictates working practices,

- client inability to exercise control or co-ordination.

Despite the potential problems, however, most firms find that they benefit from employing the specialized expertise of agencies.

3.2. How does an advertising agency work?

Advertising agencies were started in the mid-to-late 1800s by salespeople and brokers who worked for the media and received commission for selling advertising space to companies. As time passed, the salespeople began to help customers prepare their ads. Eventually they formed agencies and grew closer to the advertisers than to the media. Some ad agencies are huge - Leo Burnett has annual billings (the value of advertising placed for clients) of more than \$2.6 billion. In recent years, many agencies launched a series of mergers and takeovers to build global marketing companies. The largest of these 'agency mega-groups', WPP Group, includes several large agencies - Ogilvy & Mather, J. Walter Thompson, Fallon McElligot and others - with combined billings approaching \$25 billion.

Most large agencies have staff and resources to handle all phases of an ad campaign for their clients, from creating a marketing plan to developing campaigns and preparing, placing and evaluating ads.

3.2.1. Departments of Ad agencies: Agencies usually have four departments:

creative, which develops and produces ads;

media, which selects media and places ads;

research, which studies audience characteristics,

wants; and business, which handles the agency's business activities. Each account is supervised by an account executive and people in each department are usually assigned to work on one or more accounts.

3.3 Media and related advertising organization

The media planner must know the capacity of the major advertising media types to deliver reach, frequency, and impact. Media planners make their choices by considering the following variables:

- **Target audience media habits.** Radio and television are the most effective media for reaching teens.

- ***Product characteristics.*** Media types have different potential for demonstration, visualization, explanation, believability, and color. Women's dresses are best shown in color magazines, but high-tech products requiring dynamic presentation such as digital cameras, printers, or cell phones are best demonstrated on television.
- ***Message characteristics.*** Timeliness and information content will influence media choice. A message announcing a major sale tomorrow will require radio, TV; or newspaper. A message containing a great deal of technical data might require specialized magazines or mailings.
- ***Cost.*** Television is very expensive, whereas newspaper advertising is relatively inexpensive. What counts is the cost per thousand exposures.

Given the abundance of media, the planner must first decide how to allocate the budget to the major media types. Consumers are increasingly time starved. Attention is a scarce currency, and advertisers need strong devices to capture people's attention.

Alternative Advertising Options

In recent years, researchers have noticed reduced effectiveness for television due to increased commercial clutter, increased "zipping and zapping" of commercials aided by the arrival of PVRs such as TiVo, and lower viewing owing to the growth in cable and satellite TV and DVD/VCRs. Furthermore, television advertising costs have risen faster than other media costs. Many marketers are looking for alternative media. Such as:

Placement Advertising: Place advertising, or out-of-home advertising, is a broad category including many creative and unexpected forms to grab consumers' attention. The rationale is that marketers are better off reaching people where they work, play, and, of course, shop. Some of the options include billboards, public spaces, product placement, and point of purchase.

Product Placement: Product placement has expanded from movies to all types of TV shows. Marketers pay fees so that their products will make cameo appearances in movies and on television. Sometimes placements are the result of a larger network advertising deal, but other times they are the work of small product-placement shops that maintain ties with prop masters, set designers, and production executives.

Point of Purchase: There are many ways to communicate with consumers at the point of purchase (P-O-P). In-store advertising includes ads on shopping carts, cart straps, aisles, and shelves, as well as promotion options such as in-store demonstrations, live sampling, and instant coupon machines. Some supermarkets are selling floor space for company logos and experimenting with talking shelves. P-O-P radio provides FM-style programming and commercial messages to thousands of food stores and drugstores nationwide.

3.4 Deciding on the Advertising Budget

Management should consider these **five** factors when setting the advertising budget:

- 1. Product life cycle stage:** New products typically receive large budgets to build awareness and to gain consumer trial. Established brands usually are supported with lower budgets as a ratio to sales.
- 2. Market share and consumer base:** High-market-share brands usually require less advertising expenditure as a percentage of sales to maintain their share. To build share by increasing market size requires larger advertising expenditures. On a cost-per-impression basis, it is less expensive to reach consumers of a widely used brand than to reach consumers of low-share brands.
- 3. Competition and clutter:** In a market with a large number of competitors and high advertising spending, a brand must advertise more heavily to be heard. Even simple clutter from advertisements that are not directly competitive to the brand creates a need for heavier advertising.
- 4. Advertising frequency:** The number of repetitions needed to put across the brand's message to consumers has an important impact on the advertising budget.
- 5. Product substitutability:** Brands in a commodity class (cigarettes, beer, soft drinks) require heavy advertising to establish a differential image. Advertising is also important when a brand offers unique benefits' or features.

3.5. Summary

An **advertising agency**, often referred to as a creative agency, is a business dedicated to creating, planning, and handling advertising and sometimes other forms of promotion and marketing for its clients. An ad agency is generally independent from the client; it may be an internal department or agency that provides an outside point of view to the effort of selling the

client's products or services, or an outside firm. An agency can also handle overall marketing and branding strategies promotions for its clients, which may include sales as well. Typical ad agency clients include businesses and corporations, non-profit organizations and private agencies. Agencies may be hired to produce television commercials, radio commercials, online advertising, out-of-home advertising, and mobile marketing, as part of an advertising campaign.

All advertising agencies are called that because they are acting as agents for their principals which were the media. They were then, and are now, paid by the media to sell advertising space to clients. Originally, in the 18th century, and the first half of the 19th, advertising agencies made all of their income from commissions paid by the media for selling space to the client.

Advertising media selection is the process of choosing the most efficient media for an advertising campaign. To evaluate media efficiency, planners consider a range of factors including: the required coverage and number of exposures in a target audience; the relative cost of the media advertising and the media environment. Media planning may also involve buying media space. Media planners require an intricate understanding of the strengths and weaknesses of each of the main media options.

The media industry is dynamic - new advertising media options are constantly emerging. Digital and social media are changing the way that consumers use media and are also influencing how consumers acquire product information.

3.6. Check Your Progress Exercise

1. Which of the following is wrong about the task of Ad agencies that is responsible to develop and produce ads?

A) Creative dpts B) Media dpts C) Research unit D) Wants and business

2. One of the advertising agency, responsible for all advertising and marketing communication activities of the company is?

A) Creative boutique B) Interactive agency C) In house ads agency D) Media buying agency

3. Media planners make their choices by considering the following variables, except one:

A) Production capacity of the competitors C) Message characteristics

B) Cost and benefits analysis D) Product characteristics

1. Why a marketer wants to see alternative media channels? List and discuss additional /alternative media channels.
2. What are the major factors should be considered, when setting advertisement budget?
3. How does an advertisement agency works? And what are the roles of ad agency in marketing environment?

Answer to Check Your Progress Exercise

Multiple Choices: 1.A 2. C 3. A

Discussion: Question 1. Refer, Sub title : Alternative Advertising Options

Question 2. Refer, Sub title: deciding on the advertisement budget 3.4.

Question 3. Refer Sub title: how does an advertisement works. 3.2.

CHAPTER FOUR: ADVERTISING PLANNING AND STRATEGY

Contents:

- 4.1. Aims and objectives
- 4.2. Advertising research
 - 4.1.1 Pre-Tests
 - 4.1.2 Post-Tests
- 4.3. What are advertising Objectives?
 - 4.2.1 Setting advertising objectives
- 4.4. Choosing the Advertising Message
- 4.5. Developing message strategy (Copywriting)
- 4.6. Measuring advertising effect
- 4.7. Types of advertising / Branches of Advertising
- 4.8. Summary

4.0. Aims and objectives

The major purpose of this unit is to express the basic advertising research activities, what the advertising objectives are, and how to choose best /appropriate advertising messages. In addition to that the effect, types, and branches of advertising will be discussed. By the time you finish this unit you should be able to:

- Understand what advertising research activities mean:
- Define the advertising objectives and how to set the best objectives.
- Have a skill to develop message strategies, measuring the effects of the messages.
- understand the differences between types and branches of advertising...

4.1. Advertising research

Advertising Research: Testing various types of Advertisements!

Research can be conducted to optimize advertisements for any medium: radio, television, print (magazine, newspaper or direct mail), outdoor billboard (highway, bus, or train), or Internet. Different methods would be applied to gather the necessary data appropriately.

There are primarily **two broad types** of advertising research. **Pre-testing** and **Post-testing**.

- **Pretesting** is testing the advertisement before running it so that the likelihood of preparing most effective ads, by allowing an opportunity to detect and eliminate weaknesses or flaws increases.
- **Post-testing** is done after the advertisement is run on the media. This is more expensive and elaborate but most realistic as well because the advertisements are tested in real life setting.

In another way of advertisement research can be classified into two types of research, **customised** and **syndicated**.

Customised research is conducted for a specific client to address that client's needs. Only that client has access to the results of the research.

Syndicated research is a single research study conducted by a research company with its results available, for sale, to multiple companies.

4.1.1 Pre-testing:

Pre-testing, also known as copy testing is a form of customised research that predicts in-market performance of an ad, before it airs, by analysing audience levels of attention, brand linkage, motivation, entertainment, and communication, as well as breaking down the ad's Flow of Attention and Flow of Emotion.

Pre-testing thus is undertaken to:

- I) Establish whether the advert 'says' what it was intended to
- II) ii. Assess the likelihood of getting a response from the reader

Some of the commonly used Pre-tests are as follows

✓ Pre-tests for Print Media Advertisements: (Consumer Jury Test)

Few consumers form a group and act as jury to show their preferences for one or two ads out of several being considered.

The jury members rank the ads and respond to the questions like which was the most impressive ad or which ad provoked you most to go ahead and buy the product or which ad did you notice first and so on.

✓ **Pre-tests for Broadcast Media Advertisements:**

All the pre-test methods can be applied to broadcast media also. In addition, some special methods are available to pre-test broadcast media ads – TV and radio ads.

✓ **Some Other Pre-Testing Techniques:**

Sales Experiment, : Direct Mail Tests Physiological Testing, Eye Movement Camera, Report Card Measures, Diagnostic Measures, and others.

4.1.2 Post-Testing:

Post-testing or Ad tracking, as otherwise known, can be customised or syndicated. Tracking studies provide either periodic or continuous in-market research monitoring a brand's performance, including brand awareness, brand preference, product usage and attitudes. Advertising tracking can be done by telephone interviews or online interviews—with the two approaches producing fundamentally different measures of consumer memories of advertising, recall versus recognition.

Purpose of Post Testing:

The purpose of ad tracking is generally to provide a measure of the combined effect of the media weight or spending level, the effectiveness of the media buy or targeting, and the quality of the advertising executions or creative. Some newer forms of online tracking, separate the issues of the quality of the creative component from the quality of the media buy and instead focus on the relative performance of ads versus the competitive ads that are airing at the same time. All forms of tracking data are used to provide inputs to Marketing Mix Models which marketing science statisticians build to estimate advertising return on investment (ROI).

Some ad tracking studies are conducted by telephone while others are conducted on the Internet. The two approaches produce very different measures of advertising awareness because the interviews tap into consumer memories of advertising using fundamentally different measures, **recall** versus **recognition**.

4.2 What are advertising Objectives?

Advertising is one of the most creative fields and is a part of Marketing. In fact, Advertising has become so big that many [people](#) get confused about the differences between marketing and advertising. Nonetheless, the objectives of Advertising are completely different from Marketing. In summary, it is the objective of advertising to carry out communications between the [brand](#) and the *customer*. Before the adoption of digital marketing and advertising, most of the communication between the brand and the customer was one way. However, nowadays even digital advertising like sponsored ads are a chance of two-way communication.

Without further ad, we present to you the 11 objectives of advertising and the goals which advertising can achieve for an organization.

1) Introduce a product: The most common reason Advertising is used is to introduce a new [product](#) in the market. This can be done by existing brands as well as new brands.

2) Introduce a brand: There are many start-ups in the market today and many of them are services. Services are generally marketed as a brand rather than marketing their [individual](#) service product.

3) Awareness creation: The most important job of advertising is to get attention which is nothing but Awareness creation. Advertising [needs](#) to capture the attention of people and make them aware of the products or their features in the market.

4) Acquiring customers or Brand switching: One of the major objectives of advertising and the first objective of many advertising campaigns is to acquire more customers. This is also known as making the customers switch brands. This can happen by passing on a strong message so that the potential customer leaves the brand which he is tied up with and comes to your brand.

5) Differentiation and value creation: A most important aspect of Advertising is to [differentiate](#) the product or the service from those of the competitor. A customer can only differentiate between services based on the value the firm provides over that of competitors.

6) Brand building: When a brand regularly advertises and delivers quality products and fulfills the promises it makes, automatically the value of the brand is built.

7) Positioning the product – Product and brand recall: One of the key factors in the actual purchase of a product is the products recall and the [brand recall](#) at the time of purchase. Amongst the objectives of advertising, one objective is to correctly position the brand in the minds of the customer.

8) Increase sales: Naturally, with so many steps being taken to advertise the product, it is no doubt that one of the objectives of advertising is to increase sales. Many a times this objective is achieved via advertising.

9) Increase profits: With the value being communicated and the brand being differentiated as well as sales being increased, there is no doubt that advertising can contribute a lot to increasing profits. Advertising should never be looked at as an expense or a liability. In fact, it is an investment for a firm just like a brand is an investment.

10) Create Desire: One of the key factors in advertising is to create a desire for the product so that the customer wants the product. Brands which are known to do this are [BMW](#), [Audi](#), [Harley Davidson](#), [Adidas](#) and others. These brands are master of advertising where they create so much desire for the product that the customer absolutely wants a product even if he doesn't need it.

11) Call to action: One of the most common objectives of digital advertising and digital marketing is to get a call to action. Brands invest in banner ads, link ads as well as [social ads](#) to get their potential customers to take an action. This action can be filling up an Email form, clicking on a link, watching a video, giving a survey or what not.

4.2.1. Setting advertising objectives

Advertising objectives can be classified according to whether their aim is to **inform**, **persuade**, or **remind**.

► **Informative advertising** figures heavily in the pioneering stage of a product category, where the objective is to build primary demand. Thus, DVD makers initially had to inform consumers of the benefits of this technology.

► **Persuasive advertising** becomes important in the competitive stage, where the objective is to build selective demand for a particular brand. For example, Chivas Regal attempts to persuade consumers that it delivers more taste and status than other brands of Scotch whiskey.

Some persuasive advertising is comparative advertising, which explicitly compares two or more brands.

► **Reminder advertising** is important with mature products. Coca-Cola **ads** are primarily intended to remind people to purchase Coca-Cola. A related form of advertising is reinforcement advertising, which seeks to assure current purchasers that they have made the right choice. Automobile ads often depict satisfied customers enjoying special features of their new car.

The advertising objective should emerge from a thorough analysis of the current marketing situation. If the product class is mature, the company is the market leader, and brand usage is low, the proper objective should be to stimulate more usage. If the product class is new, the company is not the market leader, but the brand is superior to the leader, then the proper objective is to convince the market of the brand's superiority.

4.3 Choosing the Advertising Message

Advertising campaigns vary in their creativity. In developing a creative strategy, advertisers follow four steps: **message generation**, **message evaluation** and **selection**, **message execution**, and **social responsibility review**.

Message Generation

The product's "benefit" message should be decided as part of developing the product concept. Yet there is usually latitude for a number of possible messages. Over time, the marketer might want to change the message, especially if customers seek new or different benefits from the product. Creative people use several methods to generate possible advertising appeals. Many creative people proceed inductively by talking to consumers, dealers, experts, and competitors, while others use a deductive framework. Regardless of the process, how many alternative ad themes should the advertiser create before choosing? The more ads that are created, the higher the probability of findings are an excellent one.

Yet this is a balancing act, because the more time spent on creating alternative ads, the higher the costs, even with the use of computerized tools to create rough versions of ads.

Message Evaluation and Selection

A good ad normally focuses on one core selling proposition. Scholars suggested that messages be rated on desirability, exclusiveness, and believability.

Message Execution

The message's impact depends not only upon what is said but also on how it is said. Some ads aim for *rational positioning* and others for *emotional positioning*. U.S. ads typically present an explicit feature or benefits with a rational appeal, such as "gets clothes cleaner," while Japanese ads tend to be less direct and appeal more to the emotions. Message execution can be decisive for highly similar products, such as detergents, cigarettes, coffee, and vodka.

Social Responsibility

Review Advertisers and their agencies must be sure their "creative" advertising does not overstep social and legal norms. Most marketers work hard to communicate openly and honestly with consumers. Still, abuses occur, and public policymakers have developed a substantial body of laws and regulations to govern advertising. Under U.S. law, for example, companies must avoid false or deceptive advertising.

Also, sellers are legally obligated to avoid bait-and-switch advertising that attracts buyers under false pretenses. And, to be socially responsible, advertisers must be careful not to offend ethnic groups, racial minorities, or special-interest groups.

The message theme, or the outline of the key ideas in the ad, is a central part of the creative brief. The message theme can be created using a number of message strategies. A message strategy is the primary tactic or approach used to deliver the message theme. There are three broad categories of message strategies:

1. Cognitive strategies
2. Affective strategies
3. Co-native strategies

Cognitive Strategies, A cognitive message strategy is the presentation of rational arguments or pieces of information to consumers. These ideas require cognitive processing. When a cognitive message strategy is used, the advertisement's key message is about the product's attributes or the benefits. Customers can obtain these benefits by using the product.

The goal of the cognitive message strategy approach is to design an ad that will have an impact on a person's beliefs and/or knowledge structure. This can be accomplished by suggesting any one of a wide variety of potential product benefits. Foods may be described as healthful, pleasant tasting, or low calorie. A tool can be shown as durable, convenient, or handy to use.

There are five major forms of cognitive strategies:

1. Generic messages
2. Pre-emptive messages
3. Unique selling proposition
4. Hyperbole
5. Comparative advertisements

Affective Strategies, Affective message strategies invoke feelings or emotions and match those feelings with the good, service, or company. Such ads are prepared to enhance the likeability of the product, recall of the appeal, or comprehension of the advertisement. Affective strategies elicit emotions that, in turn, lead the consumer to act, preferably to buy the product, and subsequently affect the consumer's reasoning process. An emotion such as love can be used to convince consumers that a product such as Cheerios is a superior breakfast cereal for loved ones. The consumer group is then led to believe Cheerios is a rational choice because the company's advertisements mention the cereal's positive effects on cholesterol levels.

Affective strategies fall into two categories:

- (1) Resonance
- (2) Emotional.

Resonance advertising attempts to connect a product with a consumer's experiences to develop stronger ties between the product and the consumer. The use of music from the 1960s takes baby boomer's back to that time and the experiences they had growing up. Any strongly held memory or emotional attachment is a candidate for resonance advertising.

Emotional advertising attempts to elicit powerful emotions that eventually lead to product recall and choice. Many emotions can be connected to products, including trust, reliability, friendship, happiness, security, glamour, luxury, serenity, pleasure, romance, and passion.

Co-native Strategies, Co-native message strategies are designed to lead more directly to some type of consumer response. They can be used to support other promotional efforts, such as

coupon redemption programs, Internet “hits” and orders, and in-store offers such as buy-one-get-one-free.

The goal of a co-native advertisement is to elicit behavior. A co-native strategy is present in any television advertisement for music CDs that seeks to persuade viewers to call a toll-free number to purchase the music. These ads typically encourage quick action by stating that the CD cannot be purchased at stores and is available for only a limited time.

Action-inducing co-native advertisements create situations in which cognitive knowledge of the product or affective liking of the product may come later (after the actual purchase) or during product usage.

Promotional support co-native advertisements are used to support other promotional efforts. Besides coupons and phone-in promotions, a company may advertise a sweepstakes that a consumer enters by filling out the form on the advertisement or by going to a particular retail store.

4.4 Developing Media Strategies

After choosing the message, the next task is to choose media to carry it. The steps here are *deciding on desired reach, frequency, and impact; choosing among major media types; selecting specific media vehicles; deciding on media timing; and deciding on geographical media allocation.*

Deciding on Reach, Frequency, and Impact, Media selection involves finding the most cost-effective media to deliver the desired number of exposures to the target audience. What do we mean by the desired number of exposures? Presumably, the advertiser is seeking a certain response from the target audience—for example, a certain level of product trial. The rate of product trial will depend, among other things, on the level of audience brand awareness. The effect of exposures on audience awareness depends on the exposures’ **reach, frequency, and impact:**

► **Reach (R):** The number of different persons or households that are exposed to a particular media schedule at least once during a specified time period.

► **Frequency (F):** The number of times within the specified time period that an average person or household is exposed to the message.

► **Impact (I):** The qualitative value of an exposure through a given medium (thus a food ad in Good Housekeeping would have a higher impact than the same ad in the Police Gazette).

Selecting Media and Vehicles: The media planner has to know the capacity of the major media types to deliver reach, frequency, and impact. Media planners choose among the media categories by considering the following variables:

► **Target-audience media habits:** For example, radio, television, and the Internet are effective media for reaching teenagers.

► **Product:** Media types have different potentials for demonstration, visualization, explanation, believability, and color.

► **Message:** A message announcing a major sale tomorrow will require radio, TV, or newspaper. A message containing a great deal of technical data might require specialized magazines or mailings.

► **Cost:** Television is very expensive, whereas newspaper advertising is relatively inexpensive. What counts is the cost-per-thousand exposures.

Deciding on Media Timing, In choosing media, the advertiser faces a *macro-scheduling* problem and a *micro-scheduling* problem.

A) The macro-scheduling problem involves scheduling the advertising in relation to seasons and the business cycle. Suppose 70 percent of a product's sales occur between June and September. The firm can vary its advertising expenditures to follow the seasonal pattern, to oppose the seasonal pattern, or to be constant throughout the year. Most firms pursue a seasonal policy, although advertising in the off-season may boost sales and consumption without hurting seasonal consumption.

B) The micro-scheduling problem calls for allocating advertising expenditures within a short period to obtain maximum impact. Over a given period, advertising messages can be concentrated ("burst" advertising), dispersed continuously, or dispersed intermittently.

The advertiser must also decide whether to leave ad messages level, increase them, decrease them, or alternate them in the schedule.

Deciding on Geographical Allocation, In allocating media geographically, the company should consider area differences in market size, advertising response, media efficiency competition, and profit margins. The company makes "national buys" when it places ads on national TV or radio

networks or in nationally circulated publications. It makes “spot buys” when it buys TV or radio time in just a few markets or in regional editions of national publications. The company makes “local buys” when it uses local advertising media.

Despite its efficiency, however, national (and international) advertising may fail to adequately address differing local situations, such as market-to-market variations in share and competitive standing.

4.5 Measuring advertising effect

Most advertisers try to measure the communication effect of an ad—that is, its potential effect on **awareness, knowledge, or preference**. They would also like to measure the ad's sales effect.

Communication-effect-research: Communication-effect research, called copy testing, seeks to determine whether an ad is communicating effectively. Marketers should perform this test both before an ad is put into media and after it is printed or broadcast. There are three major methods of pretesting.

The consumer feedback method asks consumers questions such as these:

1. What is the main message you get from this ad?
2. What do you think they want you to know, believe, or do?
3. How likely is it that this ad will influence you to undertake the action?
4. What works well in the ad and what works poorly?
5. How does the ad make you feel?
6. Where is the best place to reach you with this message?

Portfolio tests ask consumers to view or listen to a portfolio of advertisements. Consumers are then asked to recall all the ads and their content, aided or unaided by the interviewer. Recall level indicates an ad's ability to stand out and to have its message understood and remembered.

Laboratory tests use equipment to measure physiological reactions—heartbeats, blood pressure, pupil dilation, galvanic skin response, perspiration—to an ad; or consumers may be asked to turn a knob to indicate their moment-to-moment liking or interest while viewing sequenced material. These tests measure attention-getting power but reveal nothing about impact on beliefs, attitudes, or intentions. Marketers have to explore various neural research methods to study how the brain evaluates different types of ad messages.

Sales effect research: What sales are generated by an ad that increases brand awareness by 20% and brand preference by 10%? The fewer or more controllable other factors such as features and price are, the easier it is to measure advertising's effect on sales.

The sales impact is easiest to measure in direct marketing situations and hardest in brand or corporate image-building advertising. Companies are generally interested in finding out whether they are overspending or under-spending on advertising. Researchers try to measure the sales impact through analyzing historical or experimental data.

The *historical approach* involves correlating past sales to past advertising expenditures using advanced statistical techniques.

Other researchers use an *experimental design* to measure advertising's sales impact. A growing number of researchers are striving to measure the sales effect of advertising expenditures instead of settling for communication-effect measures.

4.6 Types of advertising / Branches of Advertising

There are several branches or types of advertising which can be used by the companies. Let us discuss them in detail.

I) Print Advertising - The print media has been used for advertising since long. The newspapers and magazines are quite popular modes of advertising for different companies all over the world. Using the print media, the companies can also promote their products through brochures and fliers. The newspaper and magazines sell the advertising space and the cost depends on several factors. The quantity of space, the page of the publication, and the type of paper decide the cost of the advertisement. So an ad on the front page would be costlier than on inside pages.

II) Broadcast Advertising - This type of advertising is very popular all around the world. It consists of television, radio, or Internet advertising.

The ads on the television have a large audience and are very popular. The cost of the advertisement depends on the length of the ad and the time at which the ad would be appearing. For example, the prime time ads would be more costly than the regular ones. Radio advertising is not what it used to be after the advent of television and Internet, but still there is specific audience for the radio ads too. The radio jingles are quite popular in sections of society and help to sell the products.

III)Outdoor Advertising - Outdoor advertising makes use of different tools to gain customer's attention. The billboards, kiosks, and events and tradeshow are an effective way to convey the message of the company. The billboards are present all around the city but the content should be such that it attracts the attention of the customer.

The kiosks are an easy outlet of the products and serve as information outlets for the people too. Organizing events such as trade fairs and exhibitions for promotion of the product or service also in a way advertises the product. Therefore, outdoor advertising is an effective advertising tool.

IV)Covert Advertising - This is a unique way of advertising in which the product or the message is subtly included in a movie or TV serial. There is no actual ad, just the mention of the product in the movie. For example, Tom Cruise used the Nokia phone in the movie Minority Report.

V)Public Service Advertising - As evident from the title itself, such advertising is for the public causes. There are a host of important matters such as AIDS, political integrity, energy conservation, illiteracy, poverty and so on all of which need more awareness as far as general public is concerned. This type of advertising has gained much importance in recent times and is an effective tool to convey the message.

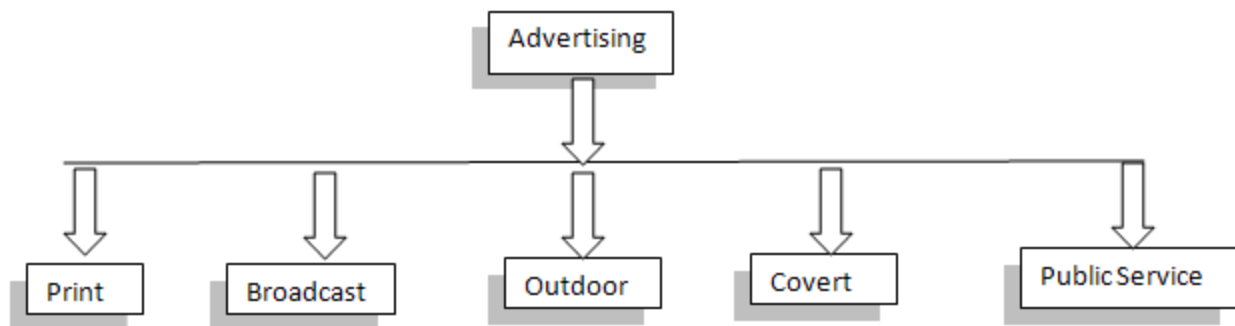


Fig.4.1. Types of Advertising

4.7. Summary

Companies must do more than deliver good products and services - they have to inform customers about product benefits and carefully position these in customers' minds. They do this by skilfully employing mass promotions to target specific buyers. The three mass-promotion tools are advertising, sales promotion and public relations. Advertising is the use of paid media

by a seller to inform, persuade and remind target audiences about its products or organization. It is a powerful promotion tool. Advertisements take many forms and have many uses. Advertising decision making is a five-step process consisting of decisions about the objectives, the budget, the message, the media and, finally, the evaluation of results.

Advertisers should set clear objectives as to whether the advertising is supposed to inform, persuade or remind buyers. The advertising budget can be based on what is affordable, on a percentage of sales, on competitors' spending, or on the objectives and tasks to be accomplished. Message decisions involve planning the message strategy - designing messages, evaluating and selecting them and executing them effectively. The media decision calls for a definition of reach, frequency and impact goals; choosing chief media types; selecting media vehicles; and deciding on media timing. Finally, evaluation calls for evaluating the communication and sales effects of advertising before, during and after the advertising are placed. Companies that advertise their products in different country markets can apply the basic principles relating to domestic advertising, but they must take into account the complexities involved in international advertising. They must address the similarities and differences between customer needs and buying behaviour, as well as cultural, socio-economic, political and regulatory environments across country markets, which will affect the decision to standardize or differentiate advertising strategies and executions.

4.8. Check Your Progress Exercise

1. Which of the followings are not the major forms of cognitive strategies in marketing environment?

- | | |
|-----------------------------|------------------------|
| A) Hyperbole | C) Pre-emptive message |
| B) Diversification strategy | D) Generic messages |

2. The type or branches of advertising where marketers emphasize on quantity of space, type of materials to use, and so on..is

- | | |
|--------------------------|-----------------------|
| A) Broadcast media | C) Covert Advertising |
| B) Out- door advertising | D) None of the above |

3. Which of the following is different from others in relation to the effect of exposures on audience awareness?

A) Frequency effect

C) Reach effects

B) Cost or expenses effects

D) Impact /effect

1. How do we set and classify the objectives of advertising in respect of their aim/purpose?

2. There are three broad categories of message strategies, List and discuss all the strategies used in primary tactics to deliver the right information.

3. What are advertising objectives? List and discuss types of advertising objectives used in marketing operation.

Answer to Check Your Progress Exercise

Multiple Choices: 1.B 2. D 3. B

Discussion: Question 1. Refer, Sub title : Setting advertising objectives, 4.2.1.

Question 2. Refer, Sub title: Three broad categories of message strategies.

Question 3. Refer Sub title: What are advertising Objectives? 4.2.

CHAPTER FIVE: SALSE PROMOTION

Contents:

- 5.1. Aims and objectives
- 5.2. Meaning of sales promotion
 - 5.1.1. Advantages and Limitations of Sales Promotion
- 5.2. Types of Sales promotion
 - 5.2.1. Consumer-Oriented Sales Promotion
 - 5.2.2. Trade-Oriented Sales Promotion
- 5.3. Methods of sales promotion
- 5.4. Summary
- 5.5. Check Your Progress Exercise

5.0. Aims and objectives

This unit is intended to introduce you with the notion of sales promotion and its overall activities. The introductory part is devoted to create an understanding of the basic issues involved in sales promotion, types, and methods of sales promotion. When you have read this unit you should be able to:

- Define and understand the term sale promotion and its major activities :
- Understand the limitations / advantages, and types of sales promotion
- Identify consumer oriented or trade oriented sales promotion.
- Have good understanding on methods of sales promotion .

5.1. Meaning of sales promotion

Marketers have come to recognize that advertising alone is not always enough to move their

products off store shelves and into the hands of consumers. Companies also use sales promotion methods targeted at both consumers and the wholesalers and retailers that distribute their products to stimulate demand.

Most companies' integrated marketing communications programs include consumer and trade promotions that are coordinated with advertising, direct marketing, and publicity/public relations campaigns as well as sales force efforts.

We examine how marketers use both consumer- and trade-oriented promotions to influence the purchase behavior of consumers as well as wholesalers and retailers. We explore the objectives of sales promotion programs and the various types of sales promotion tools that can be used at both the consumer and trade level.

Sales promotion has been defined as “a direct inducement that offers an extra value or incentive for the product to the sales force, distributors, or the ultimate consumer with the primary objective of creating an immediate sale.” On this definition we can see:

First, sales promotion involves some type of inducement that provides an extra incentive to buy. This incentive is usually the key element in a promotional program; it may be a coupon or price reduction, the opportunity to enter a contest or sweepstakes, a money-back refund or rebate, or an extra amount of a product.

While advertising appeals to the mind and emotions to give the consumer a reason to buy, sales promotion appeals more to the pocketbook and provides an incentive for purchasing a brand. Sales promotion can also provide an inducement to marketing intermediaries such as wholesalers and retailers.

A *second point* is that sales promotion is essentially an **acceleration tool**, designed to speed up the selling process and maximize sales volume. By providing an extra incentive, sales promotion techniques can motivate consumers to purchase a larger quantity of a brand or shorten the purchase cycle of the trade or consumers by encouraging them to take more immediate action.

Sales promotion attempts to maximize sales volume by motivating customers who have not

responded to advertising.

A **final point** regarding sales promotion activities is that they can be targeted to different parties in the marketing channel. Sales promotion can be broken into two major categories: consumer-oriented and trade-oriented promotions.

- Activities involved in **consumer-oriented sales promotion** include sampling, couponing, premiums, contests and sweepstakes, refunds and rebates, bonus packs, price-offs, frequency programs, and event marketing.

These promotions are directed at consumers, the end purchasers of goods and services, and are designed to induce them to purchase the marketer's brand.

- **Trade-oriented sales promotion** includes dealer contests and incentives, trade allowances, point-of-purchase displays, sales training programs, trade shows, cooperative advertising, and other programs designed to motivate distributors and retailers to carry a product and make an extra effort to push it to their customers.

5.1.1. Advantages and Limitations of Sales Promotion

Sales promotion tools are effective for the organizations in different aspects like they can be used to:

- Introduce new products and Attract new customers,
- making existing customers to buy more,
- Combat competition, Maintain sales in off season,
- Increase retail inventories,
- Tie in advertising and personal selling,
- Enhance personal selling efforts
- Attract customer traffic and maintain brand/company loyalty..

Beside these advantages, sales promotions have certain limitations as well like Consumers may just wait for the incentives.

May diminish image of the firm, represent decline in the product quality.

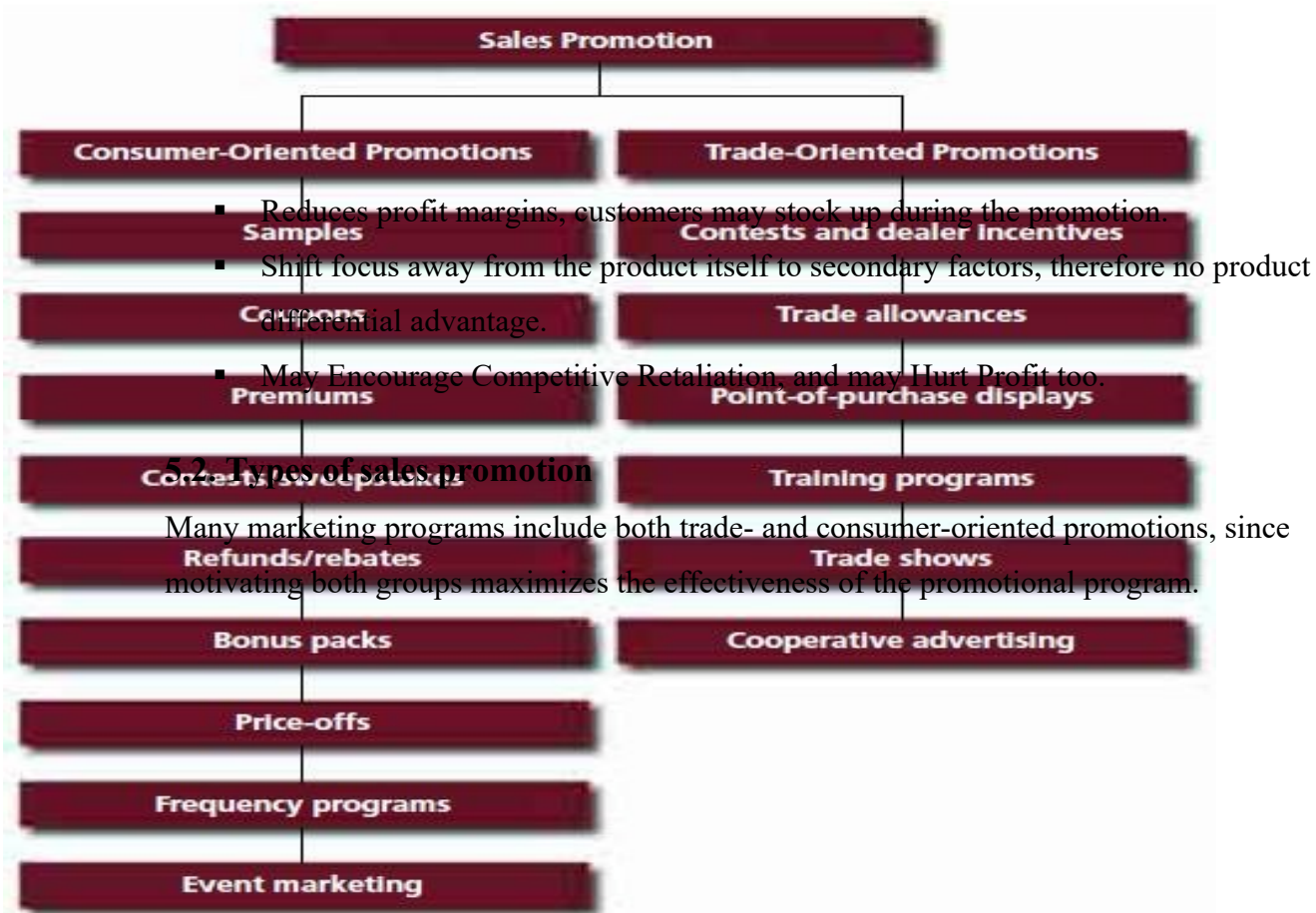


Fig. 5.1. Types Sales promotion

5.2.1. Consumer-Oriented Sales Promotion

In this section, we examine objectives of consumer oriented sales promotions, and the various sales promotion tools and techniques marketers can use to influence consumers.

Objectives of Consumer-Oriented Sales Promotion

While the basic goal of most consumer-oriented sales promotion programs is to induce purchase of a brand, the marketer may have a number of different objectives for both new and established brands:

Obtaining trial and repurchase: One of the most important uses of sales promotion techniques is to encourage consumers to try a new product or service. Sales promotion tools have become an important part of new brand introduction strategies; the level of initial trial can be increased through techniques such as sampling, couponing, and refund offers. Promotional incentives such as coupons or refund offers are often included with a sample to encourage repeat purchase after trial.

increasing consumption of an established brand: sales promotion helps to increase consumption of an establish brand through finding new uses of the product, by attracting nonusers of the brand or users of competing brands...

defending current customers: is used to hold and defend companies market share when new brands are entering in to the market.

targeting a specific market segment.

enhancing advertising and marketing efforts by supporting the integrated marketing communications effort for a brand or company.

Consumer oriented Sales promotion Techniques

Marketers' use various sales promotion techniques to meet the objectives just discussed above. Some of the consumer oriented sales promotion techniques are discussed below.

1. Sampling: involves a variety of procedures whereby consumers are given some quantity of a product for no charge to induce trial. Sampling is generally considered the most effective way to generate trial, although it is also the most expensive.

As a sales promotion technique, often used to introduce a new product or brand to the market.

The best sampling method gets the product to the best prospects for trial and subsequent repurchase. Some basic distribution methods include *door-to-door sampling, direct-mail sampling, in-store sampling, event sampling, and on-package sampling approaches.*

2. Couponing: The oldest, most widely used, and most effective sales promotion tool is the cents-off coupon.

A *coupon* is a certificate redeemable at retail for a specific price reduction on a brand/product. There are different types of coupons based on their distribution and redemption. The major ones are:

- **Bounce-back coupon:** is an in/on-pack coupon that is redeemable for the next purchase of the same brand. This type of coupon gives consumers an inducement to repurchase the brand.
- **Cross-ruff coupon:** which is redeemable on the purchase of a different product, usually one made by the same company but occasionally through a tie-in with another manufacturer? It can be effective in encouraging consumers to try other products or brands.
- **Instant coupon:** which is attached to the outside of the package so the consumer can rip it off and redeem it immediately at the time of purchase? Instant coupons have the highest redemption levels of all types of coupons.

3. Premiums: Premiums are a sales promotion device used by many marketers. A *premium* is an offer of an item of merchandise or services either free or at a low price that is an extra incentive for purchasers.

4.Contests and Sweepstakes : A contest is a promotion where consumers compete for prizes or money on the basis of skills or ability.

The company determines winners by judging the entries or ascertaining which entry comes closest to some predetermined criteria. Contests usually provide a purchase incentive by requiring a proof of purchase to enter or an entry form that is available from a dealer or advertisement. A sweepstakes is a promotion where winners are determined purely by chance; it cannot require a proof of purchase as a condition for entry. Entrants need only submit their names for the prize drawing.

5.Refunds and Rebates : Refunds (also known as rebates) are offers by the manufacturer to return a portion of the product purchase price, usually after the consumer supplies some proof of purchase. Consumers are generally very responsive to rebate offers, particularly as the size of the savings increases.

6.Price-Off Deals: Another consumer-oriented promotion technique is the direct price-off deal, which reduces the price of the brand. Price-off reductions are typically offered right on the package through specially marked price packs. Typically, price-offs range from 10 to 25 percent off the regular price, with the reduction coming out of the manufacturer's profit margin, not the retailer's.

5.2.2. Trade-Oriented Sales Promotion

Like consumer-oriented promotions, sales promotion programs targeted to the trade have well-defined objectives and measurable goals and a consideration of what the marketer wants to accomplish. Typical objectives for promotions targeted to marketing intermediaries such as wholesalers and retailers include:

- obtaining distribution and support for new products,
- maintaining support for established brands,
- encouraging retailers to display established brands, and
- building retail inventories.

Manufacturers use a variety of trade promotion tools as inducements for wholesalers and retailers. These promotions include contests and incentives, trade allowances, displays and point-of-purchase materials, sales training programs, trade shows, and co-op advertising.

1.Contests and Incentives

Manufacturers may develop contests or special incentive programs to stimulate greater selling effort and support from reseller management or sales personnel. Manufacturers often sponsor contests for resellers and use prizes such as trips or valuable merchandise as rewards for meeting sales quotas or other goals.

- Contest and incentive programs may involve cash payments made directly to the retailer's or wholesaler's sales staff to encourage them to promote and sell a manufacturer's product

2.Trade Allowances

Probably the most common trade promotion is some form of trade allowance, a discount or deal offered to retailers or wholesalers to encourage them to stock, promote, or display the manufacturer's products. There are different types:

- ***Buying Allowances*** is a deal or discount offered to resellers in the form of a price reduction on merchandise ordered during a fixed period. These discounts are often in the form of an ***off-invoice allowance***, which means a certain per case amount or percentage is deducted from the invoice. A buying allowance can also take the form of ***free goods***; the reseller gets extra cases with the purchase of specific amounts (for example, 1 free case with every 10 cases purchased).
- ***Promotional Allowances*** Manufacturers often give retailers allowances or discounts for performing certain promotional or merchandising activities in support of their brands. These merchandising allowances can be given for providing special displays away from the product's regular shelf position, running in-store promotional programs, or including the product in an ad,.
- **Slotting Allowances:** is an allowance give to retailers demanding a special allowance(fee) for agreeing to handle a new product.

3.Displays and Point-of-Purchase Materials (POP displays)

Point-of-purchase (POP) displays are an important sales promotional tool because they can help a manufacturer obtain more effective in-store merchandising of products. Through POP displays, it is very important for marketers to get the attention of consumers, as well as to communicate a sales or promotional message.

4. Sales Training Programs

Another form of manufacturer-sponsored promotional assistance is *sales training programs* for reseller personnel. Many products sold at the retail level require knowledgeable salespeople who can provide consumers with information about the features, benefits, and advantages of various brands and models. Cosmetics, appliances, computers, consumer electronics, and sporting equipment are examples of products for which consumers often rely on well-informed retail sales personnel for assistance.

5.Trade Shows

Another important promotional activity targeted to resellers is the trade show, a forum where manufacturers can display their products to current as well as prospective buyers.

A number of promotional functions can be performed at trade shows, including demonstrating products, identifying new prospects, gathering customer and competitive information, and even writing orders for a product. Trade shows are particularly valuable for introducing new products, because resellers are often looking for new merchandise to stock.

6.Cooperative Advertising

Cooperative advertising is where the cost of advertising is shared by more than one party.

There are three types of cooperative advertising.

- a. Horizontal cooperative advertising is advertising sponsored in common by a group of retailers or other organizations providing products or services to the market.
- b. Ingredient-sponsored cooperative advertising is supported by raw materials manufacturers; its objective is to help establish end products that include the company's materials and/or ingredients.
- c. Vertical cooperative advertising, in which a manufacturer pays for a portion of the advertising a retailer runs to promote the manufacturer's product and its availability in the retailer's place of business. Manufacturers generally share the cost of advertising run by the retailer on a percentage basis (usually 50/50) up to a certain limit.

5.4. Summary

For many years, advertising was the major promotional mix element for most consumer product companies. Over the past decade, however, marketers have been allocating more of their promotional dollars to sales promotion. There has been a steady increase in the use of sales promotion techniques to influence consumers' purchase behavior. The growing power of retailers, erosion of brand loyalty, increase in consumers' sensitivity to promotions, increase in new product introductions, fragmentation of the consumer market, short term focus of marketing and brand managers, and increase in advertising clutter are some of the reasons for this increase.

Sales promotion techniques can be classified as either trade- or consumer-oriented. A number of consumer-oriented sales promotion techniques were examined in this chapter, including sampling, couponing, premiums, contests and sweepstakes, rebates and refunds, bonus packs, price-off deals, frequency programs, and event marketing.

Advertising and sales promotion should be viewed not as separate activities but rather as complementary tools. When planned and executed properly, advertising and sales promotion can produce a synergistic effect that is greater than the response generated from either promotional mix element alone. To accomplish this, marketers must coordinate budgets, advertising and promotional themes, media scheduling and timing, and target audiences.

5.5. Check Your Progress Exercise

1. Which of the followings trade oriented sales promotion tools that is offered to retailers or wholesalers to encourage them to stock, promote, or display the manufacturer's products.?

- | | |
|--------------------|------------------------|
| A) Trade show | C) Cooperative advert |
| B) Trade allowance | D) Management training |

2. Which of the following different among others in relation to Consumer oriented Sales promotion Techniques?

- | | |
|----------------------------|-------------|
| A) Couponing | C) Sampling |
| B) Contests and incentives | D) Premiums |

3. An element of sales promotion, targeted to resellers in the form of forum where manufacturers can display their products to current as well as prospective buyers.

A) Advertisement media

C) Trade show effects

B) Place advert

D) Direct marketing

1. What do we mean by sales promotion? List and discuss consumer oriented sales promotion.

2. What are the differences b/n consumers oriented and trade oriented sales promotion? Discuss.

3. What types of contributions limitations are there, in sales promotion activities?

Answer to Check Your Progress Exercise

Multiple Choices: 1.B 2. B 3. C

Discussion: Question 1. Refer, Sub title : Types of sales promotion Fig 5.1

Question 2. Refer, Sub title: Types of sales promotion.5.2.

Question 3. Refer Sub title: Advantages and Limitations of Sales Promotion 5.1.1.

CHAPTER SIX: PERSONAL SELLING

Contents:

- 6.1. Aims and objectives
- 6.2. Meaning of Personal selling
 - 6.1.1. The Nature of Personal Selling
- 6.2. Types of sales person or selling
 - 6.2.1. Selling Process
- 6.3. Summary
- 6.4. Check Your Progress Exercise

6.0. Aims and objectives

This unit is planned to present you with the concept of personal selling and its unique activities. The issues in first part of the unit will be discussed to create an understanding of the fundamental concepts involved in selling activity, types, and process of personal selling. By the end of the unit you should be able to:

- Define and understand the term personal selling and its major activities :
- Understand the nature of selling activities and different characteristics
- Identify type's sales person or personal selling.
- Understanding of selling processes and different stapes in selling activity

6.1. Meaning and definitions of personal selling

Personal selling involves selling through a person-to-person communications process. The emphasis placed on personal selling varies from firm to firm depending on a variety of factors, including the nature of the product or service being marketed, size of the organization, and type of industry. Personal selling often plays the dominant role in industrial firms, while in other firms, such as makers of low-priced consumer non-durable goods, its role is minimized. In many industries, these roles are changing to a more balanced use of promotional program elements. In an integrated marketing communications program, personal selling is a partner with, not a substitute for, the other promotional mix elements. According to American Marketing Association, “Personal selling is an oral presentation in a conversation with one or more prospective customers for the purpose of making sales”.

In a nutshell, personal selling is the skill and the ability of a person in convincing the other about the proposition of goods or services so that the latter is automatically induced to desire and buy them at a price, which is profitable to both. Personal selling is the skills of creating an attitude in the mind of the buyer to buy a product or service. As a matter of fact, it is not an effort to sell; it is the effort to make the buyer buy a product or service. Personal selling is the skill of creating an attitude in the mind of the buyer to buy a product or service.

6.1.1. The Nature of Personal Selling

To integrate the personal selling effort into the overall promotional program, we must understand the nature of this tool. Let us look at how personal selling has evolved over the years and then examine some of its characteristics.

The personal selling task encompasses a variety of responsibilities. Like other aspects of the promotional mix, these responsibilities are constantly changing. As noted by Thomas Wotruba, the personal selling area is constantly evolving as the marketing environment itself evolves. Wotruba identifies five distinct stages of personal selling evolution, shown below:

1. Provider stage. Selling activities are limited to accepting orders for the supplier's available offering and conveying it to the buyer.

2. Persuader stage. Selling involves an attempt to persuade market members to buy the supplier's offerings.
3. Prospector stage. Activities include seeking out selected buyers who are perceived to have a need for the offering as well as the resources and authority to buy it.
4. Problem-solver stage. Selling involves obtaining the participation of buyers to identify their problems, which can be translated into needs, and then presenting a selection from the supplier's offerings that corresponds with those needs and can solve those problems.
5. Pro-creator stage. Selling defines the buyer's problems or needs and their solutions through active buyer-seller collaboration and then creates a market offering uniquely tailored to the customer.

As previously noted, the business world is going through a very rapid transition as:

- (1) individuals and corporations gain more knowledge and economic power,
- (2) value is replacing efficiency, and
- (3) industry boundaries are changing—for example, competitors are joining forces to achieve more buying power. As a result, the role of the sales force will also significantly change, according to (Kevin Hoffberg) and (Kevin Corcoran). Along with retaining their traditional roles, described by (Wotruba), salespeople will have to acquire new roles to remain effective.

That is, in addition to being information providers, influencers through proximity (i.e., through personal contact), and demonstrators, salespeople will engage in:

Surveying: educating themselves more about their customers' businesses and regularly assessing these businesses and their customers to achieve a position of knowledgeable authority.

Mapmaking: outlining both an account strategy and a solutions strategy (for the customer). This means laying out a plan, discussing it with the customer, and revising it as changes require.

Guiding: bringing incremental value to the customer by identifying problems and opportunities, offering alternative options and solutions, and providing solutions with

tangible value.

Fire starting: engaging customers and driving them to commit to a solution.

Relationship Marketing: As noted, personal selling is evolving from a focus on persuasive techniques used to sell a product or service to a much more marketing oriented partnership with the customer. This new role requires much broader thinking and expertise on the part of the seller and a more extensive use of the various promotional tools. The modern salesperson is attempting to establish a long-term, symbiotic relationship with clients, working with them as a solutions provider.

Relationship marketing is defined as “an organization’s effort to develop a long-term, cost-effective link with individual customers for mutual benefit.”

Rather than focusing on a short-term sale, the sales rep tries to establish a long-term bond. And rather than just selling, the sales department works with marketing to use techniques like database marketing, message differentiation to different target markets, and tracking of promotional effects to improve the relationship. For example, customer relationship management (CRM) tools have been used by a number of companies.

6.2. Types of sales person or selling

The diverse nature of the buying situation means that there are many types of selling job: selling varies according to the nature of the selling task. The following picture distinguishes between order-takers, order-creators and order-getters.

Order-takers respond to already committed customers;

order-creators do not directly receive orders since they talk to specifiers rather than buyers;

order getters attempt to persuade customers to place an order directly.

There are *three* types of order-takers: *inside order-takers*, *delivery salespeople* and *outside order-takers*. Order-creators are termed *missionary salespeople*. Finally, order-getters are either front-line salespeople consisting of new business, organizational or consumer salespeople, or sales support salespeople who can be either technical support salespeople or merchandisers.

A) Order-takers

I. Inside order-takers

Here the customer has full freedom to choose products without the presence of a salesperson.

The sales assistant's task is purely transactional – receiving payment and passing over the goods. Another form of inside order-taker is the telemarketing sales team who support field sales by taking customers' orders over the telephone.

II. Delivery salespeople

The salesperson's task is primarily concerned with delivering the product. In the UK, milk, newspapers and magazines are delivered to the door. There is little attempt to persuade the household to increase the milk order or number of newspapers taken: changes in order size are customer-driven. Winning and losing orders will be dependent on reliability of delivery and the personality of the salesperson.

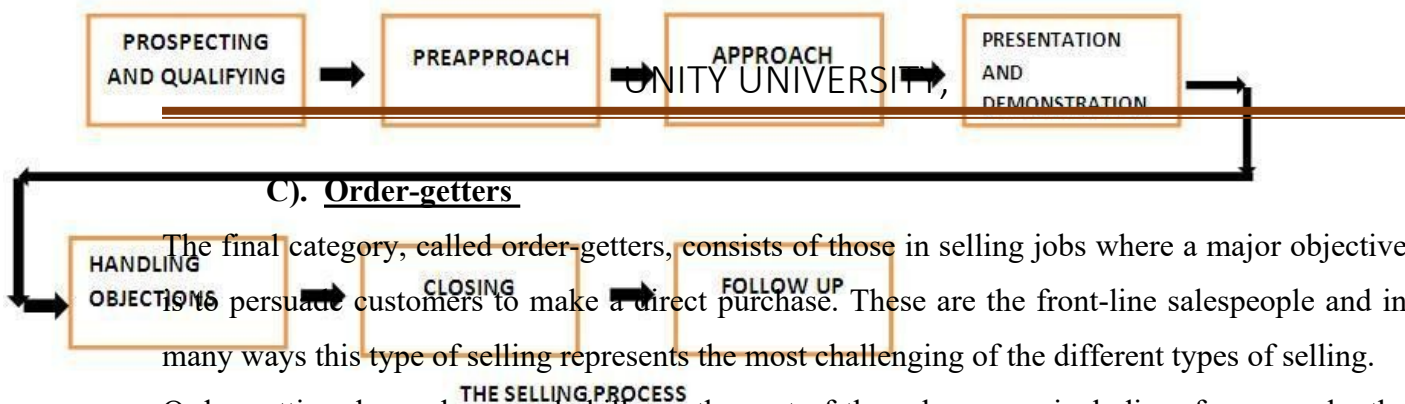
III. Outside order-takers

These salespeople visit customers, but their primary function is to respond to customer requests rather than actively seek to persuade. Outside order-takers do not deliver and to a certain extent they are being replaced by more cost efficient telemarketing teams.

B). Order-creators

I. Missionary salespeople

In some industries, notably the pharmaceutical industry, the sales task is not to close the sale but to persuade the customer to specify the seller's products. For example, medical representatives calling on doctors cannot make a direct sale since the doctor does not buy drugs personally, but prescribes (specifies) them for patients. Similarly, in the building industry, architects act as specifiers rather than buyers, and so the objective of a sales call cannot be to close the sale. Instead, in these situations the selling task is to educate and build goodwill.



The final category, called order-getters, consists of those in selling jobs where a major objective is to persuade customers to make a direct purchase. These are the front-line salespeople and in many ways this type of selling represents the most challenging of the different types of selling.

Order-getting demands several skills on the part of the salesperson including, for example, the ability to identify new prospects, persuading Sales perspective and negotiating, and ultimately building new and profitable business in the face of often fierce competition.

6.2.1. Selling Process

The sales process or selling process refers to a sequential or series of actions undertaken by the salesman to convert a prospect in to a customer. In other words, selling process is a series of logical steps taken by a salesman in order to induce prospects to take the desired actions leading to purchase and post-purchase satisfaction. Although many factors may influence how a salesperson makes a presentation in any one situation, there does exist a logical, sequential series of actions that, if followed, can greatly increase the chance of making a sale. The most commonly accepted stages of the sales process are as follows:

Fig, 6.1. The selling Process

It should be noted that these stages are not independent. Rather, all the stages are closely interlinked. The salesman cannot afford to miss or ignored a step. Instead, he has to move step-by-step.

1. Prospecting and Qualifying/ Generating Sales Leads

Selling begins by locating potential customers. A potential customer or “prospect” is first identified as sales lead, which simply means the salesperson has obtained information to suggest that someone exhibits key characteristics that lend them to being a prospect. For certain sales positions, locating leads may not be a major task undertaken by the sales force as these activities are handled by others in company. For instance, salespeople may receive a list of sales leads based on inquiries through the company’s website.

Prospecting is the method by which salespeople search for new customers and potential customers.

A **prospect** is a qualified person or organization that has the potential to buy your product or service. A prospect should not be confused with a ‘lead’. The name of a person or an organization that might be a prospect is referred to as a **lead**.

A lead can also be referred to as a ‘suspect’, indicating the person or organization is suspected of being a prospect. Once the lead has been “qualified”, the lead becomes a prospect.

2. Pre-approach

If a prospect has been qualified or if qualifying cannot take place until additional information is obtained (e.g., when first talking to the prospect), a salesperson’s next task is to prepare for an eventual sales call. At this stage the salesperson’s key focus is one learning as much as possible about the prospect. While during the lead generation and qualifying portion of the selling process a seller may have gained a great deal of knowledge about a customer, invariably there is much more to be known that will be helpful once an actual sales call is made.

The job of prospecting is completed when the salesman is able to locate the prospective buyers and collect enough background knowledge about them. Here, the stage of pre-approach begins. However, it is really difficult to point out clearly when the job of prospecting ends and the job of pre-approach begins, since selling is a continuous process. Therefore, there is no clear-cut line of demarcation between prospecting and pre-approach.

In a nutshell, all the preparations that are made before personally approaching the prospects is called pre-approach.

Pre-approach means getting more detailed information about the potential buyer. At the pre-approach stage, the salesman tries to collect some more information in addition to the background information gathered at the prospecting stage.

Such additional information about the prospective customers includes their needs, habits, preferences, nature, behaviour, economic status, and so on.

3. Approaching Customers

The term ‘approach’ means meeting the prospect in person by the salesman. At this stage of the selling process, the salesman directly comes in contact with the prospect. When the salesman personally meets the prospect face-to-face, he is in a position to understand the prospect better. Approach is an important step in the selling process.

The salesman at this stage gets ample opportunity and enough time to attract attention to arouse interest and desire of the prospects in the products or services he intends to sell.

The salesman at this stage tries his level best to convince the prospects in favor of the product and win his confidence.

4. Sales Presentation and Demonstration

The **sales presentation** is the main body of the sales call and should occur after the salesperson has predetermined the needs of the customer. This step can be one presentation or multiple presentations over a period of time. Goals for the sales presentation will vary. First-time buyers must get sufficient information to adequately understand the product’s benefits, which may be facilitated by building the presentation around a product demonstration. Selling points and attributes are visualized and built around a call agenda or sales proposal.

The salesman can attract the interest and arouse the desire of the customer in a better manner if he **demonstrates** or shows the features of the product to the customers. Proper demonstration definitely creates a favourable impression in the minds of the customers because demonstration is an important feature of a good presentation. By demonstration, the interest of the customer increases considerably because oral presentation at times fails to convince the prospect properly. The salesman, in order to convince the customer can effectively dramatize the demonstration of the product. The dramatic demonstration of the product or service remains very effective and impressive and the customer remembers and understands such messages for a long time.

5. Overcoming the objection

Very often it is said that the selling process begins only when prospects raise objections. If no objections are raised, the salesman remains merely an order taker.

Objections are excuses for not making a purchase commitment or decision. Some objections are valid and are based on the characteristics of the product or service or price. However, many

objections reflect prospect skepticism or indifference.

An objection is the expression of disapproval of an action taken by the salesman.

In other words, objections are the feelings disapproval and usually rose by the prospects. Once an objection is raised, it indicates that the prospect is undecided about the purchase. Further, it also points out that the prospect is in need of the some more convincing and persuasion to arrive at a decision. It is the duty of the salesman to remove all possible doubts and queries from the minds of the prospects, which gives birth to objections.

This objection raised by the prospect is otherwise known as sales resistance.

Why do Prospects Object? There are a number of reasons behind the objections raised by the prospects. Some of the important reasons are:

- People in general, have the **tendency of natural aversion to new and unfamiliar ideas and goods**. Therefore, many consumers raise objections as a natural phenomenon.
- Some prospects raise objections because **they are not fully convinced about the product or service for sale**. In other words, they are only partially convinced and still they are in need of explanations, classifications, and additional features about the sales proposition.
- Some prospects particularly the educated and the tactful ones, raise objections to **test the salesman's knowledge and patience**.
- Sometimes, Objections are raised as **mere excuses because the prospects may not possess the required purchasing power**.
- Some prospects raise objects if the salesman starts pressuring them or uses some unfair means to sell the product.
- Some prospects raise objections merely to postpone buying, or they really do not want to buy.
- They raise objections in an attempt to secure more information.
- Some prospects raise objections if he salesman is not able to recognize their real need.
- Some prospects find objections as a means to avoid unwanted salesman.

6. Closing the Sales

The **close** is defined as the successful completion of the sales presentation culminating in a commitment to buy the good or service.

Once any objections have been successfully overcome, the salesperson must actually ask for the business and thus begin the process of closing the sale. This step traditionally has been trumpeted as difficult for many salespeople (especially new salespeople) because many simply do not ask for the order. An innumerable of closing tactics are available, some of which are quite colorful.

Closing is the process of helping people makes decision that will benefit them. You help people make the decision by asking them to buy.

As successful salespeople know, there are no magic phrases and techniques to use in closing a sale. It is the end result of the presentation.

If everything has been done to properly develop a sales presentation, closing the sales is the next step in a logical sequence.

In all forms of selling, closing is a continual process. It is gaining acceptance on minor points (trial closes) throughout the sales process, leading to final acceptance of the product. When you are confident that the prospects have accepted a property, and the property truly fulfils most of their wants and needs, lead them to the final decision. It is important to honestly feel you have found the right house for your prospects. It will do little good for you to draft an offer on a property only to have the buyers back out later.

At the stage of closing, the prospect is converting into a customer. At this level of selling, the ability of the salesman to convert the desire of the prospects into expressed demand is put to crucial test. A lot of self-confidence, tact and experience is required for the salesman to close the sales successfully.

7. Follow-up

The selling process does not end with the closing of a sale; rather, professional selling requires customer follow-up. One marketing authority equated the follow-up with courtship and marriage by observing, "...the sale merely completes the courtship. Then the marriage begins. How good the marriage is depends on how well the relationship is managed." The follow-up stage includes making certain the customer's purchase has been properly delivered and installed and difficulties experienced with the use of the item are addressed.

The follow-up step is a relatively newer addition to the steps of selling in which the salesperson does not assume the sale is over with the acceptance of an order. Rather, much work begins after the sale to make sure the customer is happy with the product/service and that everything that was promised is being delivered. Examples that are frequently given include a thank-you letter to the customer or a follow-up phone call to ensure the customer is happy.

The traditional follow-up was typically done with a **phone call or letter thanking** the customer for the sale and determining if the product was meeting expectations.

Frequently, the salesperson would **drop by** to see if any problems were occurring. The key transformative factor here is increased effectiveness of communication through technology. Today, email and interactive media platforms have become a dominant method of follow-up because of its ease of use and timeliness.

6.3. Summary

Salespeople—the company’s link to its customers—performs one or more of these tasks: prospecting, targeting, communicating, selling, servicing, information gathering, and allocating. Designing the sales force requires making decisions regarding objectives, strategy, structure, size, and compensation. Determining objectives and strategy requires defining the specific objectives the sales force will achieve and selecting the approaches and type of sales force that will be most effective.

There are five steps involved in managing the sales force: (1) recruiting and selecting sales representatives; (2) training reps in sales techniques and in the company’s products, policies, and customer-satisfaction orientation; (3) supervising the sales force by establishing norms for customer and prospect calls and helping reps to use their time efficiently, (4) motivating the sales force, balancing quotas, monetary rewards, and supplementary motivators; and (5) evaluating individual and group sales performance through effective feedback. Three major aspects of personal selling are sales professionalism, negotiation, and relationship marketing.

Most trainers see professional selling as a seven-step process: prospecting and qualifying customers, pre-approach, approach, presentation and demonstration, overcoming objections, closing, and follow-up and maintenance. Especially in business-to-business deals, professional selling requires negotiation, the art of arriving at transaction terms that satisfy both parties. Today’s most successful firms are deemphasizing transaction-oriented marketing in favour of relationship marketing, which focuses on developing long-term, mutually beneficial relationships between two parties.

5.5. Check Your Progress Exercise

1. One of the selling processes where salesperson's key focus is one learning as much as possible about the prospect?

A) Pre-approach B) Approaching C) Prospecting and Qualifying D) Overcoming

2. Which of the following is the type of sales person attempt to persuade customers to place an order directly?

A) Order takers B) Order getters C) Order creators D) Order initiators

3. Which of the following is different from others in relation to the stages of personal selling evolution.

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A) Provider stage B) Prospector stage C) Persuader stage D) Demander stage

1. What do we mean by personal selling and define the nature personal selling.

2. What are the differences b/n approaching and pre-approaching steps in selling process?

3. What is objection? Why do prospects object? Explain the meaning and concepts in the activity.

Answer to Check Your Progress Exercise

Multiple Choices: 1.A 2. C 3. D

Discussion: Question 1. Refer, Sub title : Meaning , the nature of personal selling, 6.1.

Question 2. Refer, Sub title: Selling processes ..6.2.1.

Question 3. Refer Sub title: Why do prospects object? 6.2.1..

CHAPTER SEVEN: PUBLIC RELATIONS/ PUBLICITY

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- 7.5. Marketing Public Relations and making a decision
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7.0. Aims and objectives

This unit is intended to present you with the concept of public relation and publicity with the promotional activity tools. The concepts in first part of the unit will be discussed to create an understanding of the fundamental concepts involved in public relation and publicity, role, and process of public relations. By the end of the unit you should be able to:

- Define and understand the term public relation and publicity and major activities :
- Understand the goals of publicity, creating, and how to distribute publicity materials
- Identify type's the differences between public relation and publicity.
- Understanding of ethics in public relation and the need for code of ethics
- Know how to market in public relation and how to make decisions

7.1. Definition, origin and role of public relation

It is only in the twentieth century that public relations came to be codified, formalized, and practicable as a profession. Actually, however it is as old as the human race. Every organization, institution, and individual has public relations whether or not that fact is recognized. As long as there are people, living together in communities, working together in organizations, and forming a society, there will be an intricate web of relationships among them.

The good will of the public is the greatest asset that any organization can have. A public that is well and factually informed is not only important; without it, an organization cannot long survive. Therefore, the starting point for good public relations in any organization is the development of sound policies that are in the public interest. Public understanding and approval must be deserved before they can be earned.

7.1.1. Meaning and definition of Public Relations

What is a public relations? How does it differ from other elements discussed thus far? Perhaps a good starting point would be to define what the term public relations has traditionally meant and then to introduce its new role.

While a variety of books define public relations, perhaps the most comprehensive definition is that offered by the Public Relations News (the weekly newsletter of the industry):

The management function, which evaluates public attitudes, identifies the policies and procedures of an organization with the public interest, and executes a program of action (and communication) to earn public understanding and acceptance.

In this definition, public relations require a series of stages, including:

- ❖ *The determination and evaluation of public attitudes.*
- ❖ *The identification of policies and procedures of an organization with a public interest.*
- ❖ *The development and execution of a communications program designed to bring about public understanding and acceptance.*

Public relations are the management function that focuses on the relationships and communications with individuals and groups in order to create mutual goodwill.

Some people define public relations (PR) as the quality of relationships with the various groups or individuals that comprise the public (including government, stockholders, and others), but we define PR as a management function in order to emphasize the importance of managing these relationships. PR is more than crisis management effective marketing communicators do not wait for an oil spill to begin developing communications with the various publics. Rather, effective marketing communicators seek to have strong, positive relationships before and in spite of any crises. There are two forms of PR: publicity and public affairs. These forms of PR may overlap, but it is helpful to recognize the different categories separately first so that all PR requirements are identified.

7.1.2. History of public relations

Most textbooks date the establishment of the "Publicity Bureau" in 1900 as the start of the modern public relations (PR) profession. Of course, there were many early forms of public influence and communications management in history. Basil Clarke is considered the founder of the public relations profession in Britain with his establishment of Editorial Services in 1924. Academic Noel Turnbull points out that systematic PR was employed in Britain first by religious evangelicals and Victorian reformers, especially opponents of slavery. In each case the early promoters focused on their particular movement and were not for hire more generally.

Propaganda was used by both sides to rally domestic support and demonize enemies during the First World War. PR activists entered the private sector in the 1920s. Public relations became established first in the US by Ivy Lee or Edward Bernays, and then spread internationally. Many American companies with PR departments spread the practice to Europe after 1948 when they created European subsidiaries as a result of the Marshall plan.

The second half of the twentieth century was the professional development building era of public relations. Trade associations, PR news magazines, international PR agencies, and academic principles for the profession were established. In the early 2000s, press release services began offering social media press releases. The Cluetrain Manifesto, which predicted the impact of social media in 1999, was controversial in its time, but by 2006, the effect of social media and new internet technologies became broadly accepted.

7.1.3. Roles of Public Relations

It's about time the world knows the real power of public relations. Some persons who've known us casually have noted that we have "fun jobs" and talk to the media all the time. Of course we have fun jobs, why else would we be doing this? However, what is more important to know about public relations professionals is that we are brand builders, message developers, lead generators, communications commandos and more. Here are five Roles of Public Relations:

1. To build, build, build that brand!

"Rome wasn't built in one day," your wise old advisor sitting on that rocking chair pipes in. "You have to build your brand, get into the news, speak at industry events, win awards, show the world what your company's made of!" Public relations pros, through our skills and methodologies, help build companies' reputations day after day, year after year.

2. To massage your message

At meetings with the media, bloggers, analysts, customers and investors, how many times have you wished you can succinctly pitch and interest people on what your company does? How many times have you wished that your listener will say "Aha! You're exactly what we need!"? Public relations plays a critical role in shaping messages for the right audiences, and helping you tweak your messages to resonate with those who have the power to influence.

3. To generate those leads

What is the value of a cover story in Fortune Magazine? Or an excellent product review in CNet.com? Chances are, your web site will receive an incredible spike in the number of visitors, your phones might even ring to the tune of "I just read this great review, I want to buy!" Well-executed public relations programs can place your company and products/services in the media devoured by your potential customers.

3.To be your communications command center

When major news strikes, the public must know. A plane crash, a big merger, a drug recall or a public scandal, the challenge is in figuring out the best and most efficient way to communicate your news to target audiences. This is when your PR "command centre" rises to the occasion, and executes on an already planned PR plan that places your company in the best media spotlight possible.

5. To up your valuation

Never underestimate the power of the media. How do investors decide if they should put money in your company? Say you have excellent brochures, presentation slideshows, and a CEO who can sing and even salsa dance... This is probably not enough. Investors talk amongst themselves, and most importantly, they read independent analyst and media reports, and make their bet on whether your company's the one.

The New Role of Public Relations

The way that companies and organizations use public relations might best be viewed as a continuum.

- ❖ On one end of the continuum is the use of PR from a traditional perspective. In this perspective public relations is viewed as a non-marketing function whose primary responsibility is to maintain mutually beneficial relationships between the organization and its public's. In this case, customers or potential customers are only part of numerous public/employees, investors, neighbours, special interest groups, and so on. Marketing and public relations are separate departments; if external agencies are being used, they are separate agencies.
- ❖ At the other end of the continuum, public relations are considered primarily a marketing communications function. All non-customer relationships are perceived as necessary only in a marketing context.

The comprehensive term "**the public**" may be used to denote different groups, rather than the entire populace. Therefore we speak of "publics" rather than of "the public". From the point of view of business and industry, the major publics that need to be addressed include the following:

Employees: Good public relations begin at home, and employees are part of the business "family."

Stockholders: They are the owners of the corporation- the "capitalists" whose investments provide the funds with which corporations are founded, maintained, and caused to grow.

Communities: The areas in which the corporation maintains offices, factories, or services facilities. The people of the community are the corporation's neighbours, whose friendship, loyalty, and support it needs.

The news media: These comprise all the means of public communication - print, electronic, satellite, computer networks, and others that are constantly being developed and restructured as technology continues to improve and audiences become more segmented.

Government: At all levels- federal, state, and local-government, as "the voice of the people," has the power to tax, regulate, and in one way or another supervise the operations of corporations under its jurisdiction.

The investment community: In particular, the people and institutions that analyses and evaluate the performance of corporations and both invest themselves and make recommendations to others based on their findings.

7.2. Publicity

Publicity is often confused with PR, but publicity is only one type of PR. Publicity is the generation of news about a person, product, or organization that appears in broadcast or electronic media. For example, when Color Span launched Display Maker, it sent information to various magazines in hopes that the magazines would do stories on the new product. Marketers try to get positive publicity, but several issues must be remembered. First, the information must be newsworthy and, unfortunately, negative information seems to be more newsworthy. That is why we see more stories about ethics violations, for example, than we do about successful turnarounds of failing companies. Second, there is no charge for publicity by the media, but no obligation to use it. Nor can the marketer control how such information is used. A major publicity campaign can require an investment of 1 to 2 percent of sales, as opposed to 5 to 20 percent for advertising, so publicity can be very cost effective when successful.

News releases are an important form of publicity. A **news release** (or **press release**) is a brief memo or report containing news information, such as the announcement of a new product, award, or change in management.

Press Agency: One form of publicity is press agency, or the planning and staging of an event in order to generate publicity. For example, hosting a press party at a trade show and demonstrating a new product would be considered press agency. There are other methods of achieving publicity, particularly negative publicity; press agency encompasses much of what is done to create favourable publicity.

Again, one key to success is to make the event newsworthy. **Press kits:** (or media kits) support staged events, and contain information about the event and key information for publication in news stories. These kits may include samples of the product, background information and product brochures, and any other information that will aid a journalist in writing an article about the event or the organization. Another form of press agency is the creation of speaker's bureaus, or lists of company officials who will speak at civic and industry events. For example, the Freeman Companies, a Dallas-based group of companies serving the trade show industry, has several executives who have prepared speeches. Based on a group's needs, the PR department matches the executive and speech to the occasion.

Public Affairs: Many people contact companies for many different reasons. Schoolchildren may write to learn more about business, a local government official may ask about a company policy, a local journalist calls with questions about employment figures, or a charity calls asking for a donation. All of these inquiries must be handled, and it is usually through a public affairs office. Public affairs is the part of PR that deals with community groups.

In addition to the inbound examples just mentioned, there are two types of public affairs: **lobbying** and **community involvement**.

Lobbying is any attempt to persuade a government official or governing body to adopt policies, procedures, or legislation in favour of the lobbying group or organization. Lobbying is an important activity and can affect the outcomes of planned mergers and acquisitions, product introductions and recalls, marketing communication activities, and other activities of the firm.

Community Involvement, A form of public relations is a company's community involvement. Such involvement can range from sponsoring a children's soccer team to underwriting the costs of charity events to loaning an executive to run a charitable organization. Many companies use their PR department to create relationships with organizations that can benefit from the companies' participation. The PR departments then secure participation from employees.

7.2.1. Goal and types of publicity

Publicity's primary purpose is to get specific information across to as many people as possible within the shortest time frame. To record any sale of products or services, customers have to be aware they exist, and they also have to know the attached benefits.

As the number of people aware of a product or service increases, the potential for additional sales also increases. While publicity is a key component of marketing strategies, it is different from marketing because there often is no message beyond letting an audience know that the product or service in question exists. A publicity campaign might be built around making a product or brand visible through strategies such as product placements or logos on vehicles that are seen around town. This strategy typically does not share or describe a product's specific benefits, but it puts it in front of as many eyes as possible. Such strategies often precede more specific marketing campaigns that share more detailed information.

Depending on the type of product or service being publicized, certain categories of people might make up a target audience. For instance, if a product is for babies, nursing mothers and pregnant women likely will be a target audience. Other less obvious demographics often are determined through market research. Surveys may be conducted by a company's marketing department, or it might hire an outside firm to handle the research.

The goal is to determine the demographic make-up of the customers who show the most interest in or have the greatest need for a product or service. Companies also collect information about customers using tools such as frequent shopper programs that offer special deals. To join, customers typically have to share at least minimal information about them. The more information a company has about its customers, the more it can tailor its marketing strategies to the appropriate audiences. Publicity is communication, and communication is a two-way transaction. So, another way a company's collect data about customers is through customer feedback forms. As much as companies want to know whether customers liked or disliked what they were selling, they want to collect information about who the customers are.

Types of Publicity: The following sections list numerous means by which you can publicize events. One of these ideas will be familiar to you while others will hopefully provide you with insight into innovative and more creative ways of effectively publicizing programs.

Posters

The essential purpose of a poster is the rapid telling of a single simple message using a limited number of elements. Posters are viewed more rapidly than other methods of advertisement. Their message must be strong, simple, and brief.

Table of Tens

Table tents should be made of thick or heavy grade of paper that will stand firm. Table tents can be placed in visible locations including lounges, lobby, dining hall, and on desk tops.

Invitation

A personal touch can be added to your publicity by distributing invitations for your program. These can be placed in mailboxes or handed out or slipped under room doors.

Calendar

A large calendar of activities located on your bulletin board or distributed individually is a particularly effective technique. Students will have at least one consistently identifiable source for information and activities. The smaller calendars of activities can be copied and put into mailboxes or slid under doors.

Balloons

You can write a message on the balloon or put the message on a piece of paper inside the balloon. Balloons can be tied with string to student's door knobs, handed out at the entrance of the building or handed out in dining hall lines.

Tickets

You can purchase printed tickets or make your own. Free tickets, and invitations, can be placed in mailboxes, handed out, or slipped under doors. A variation of the ticket concept is to distribute coupons. The coupon might entitle the person to a prize or free refreshment item. Coupons can be included on flyers or on printed schedules and this may prevent your advertisement from falling victim to the trash can.

Billboards

Place a large poster in the central lobby of Goodwin Hall. For a more unusual effect, make a human billboard by hanging posters on the front and back of someone and have them walk around.

Banners

A large extension of the poster, these can be hung outside the hall or in the mail-room or in a lobby. A bed sheet or old shower curtain will make a good size banner.

Word of Mouth

And of course, there is the time-honoured word-of-mouth technique. This is perhaps the oldest, yet most effective way to get the word out. Its effectiveness should not be underestimated. Go door to door and personally inform people of the activity; and remind them frequently, so that they don't forget.

Other Publicity Techniques

- | | | |
|-------------------|---------------|------------------|
| -Networking sites | -Mass e-mails | -Bags |
| -Bookmarks | -Bull Horns | -Bumper Stickers |
| -Computer Letters | -Door Hanger | -Door Prizes |

7.3. Creating and distributing publicity materials

There are many occasions when we create publicity materials to promote the business organization or one of its events, initiatives or services.

We can find examples of different types of publicity materials and how they utilize our logos, brand colors, patterns and styling to present a consistent look and feel.

All materials produced by or for the organization must:

- Display, on the front, the *organization logo or that of a recognized sub-brand*
- Adhere to the logo *sizing and positioning guidance*
- Use the correct *icons and maps*
- Only use colors from *our color*
- Use the corporate *font*
- Be written in the style set out in the *editorial style guide*
- Only use images that comply with the *photography guidance*
- Apply the *principles of good design*

Getting people to come to your event or support your organization may seem difficult, thus the need for distributing publicity materials.

Yet knowing how to distribute publicity materials is crucial to increasing your response rate. When publicizing your event, it is important to utilize the best publicity outlet for your target audience.

Steps in distribution of publicity materials:

Determine your target audience. Knowing where and how your audience best receives information is vital to getting your message across. Do not worry about advertising to those unlikely to attend your event or support your program. Focus on those who will.

- Identify places where your target audience meets. Coffee shops, schools, local businesses, and youth organizations are common areas.
- Find out what media your audience uses to get their news and entertainment. Radio stations, television stations, and websites provide ways to promote community events at a low cost.

Create an information or data sheet. Include all the details about your event or organization, including date, time, location, purpose of the event/organization, what people need to bring, cost, and a contact person. Refer to this as you are creating different marketing materials so that everything stays consistent.

- Write a short text that promotes your event. After creating your standard announcement, you can adapt it to several alternate formats: post cards, posters, e-marketing, book marks, and press releases.
- Provide the information sheet along with your publicity materials when you ask other organizations or businesses to help you advertise. This supplies additional information that may not make it into the press release or postcard.

Explore local advertising opportunities. Businesses and non-profit organizations often promote community events for free or at a low cost. Drop off fliers, posters, or brochures at their offices. Get on their websites to fill out a special form for promoting events. Partner with local businesses that are sponsoring the event and ask them to help you advertise.

Incorporate social media and e-marketing. These are inexpensive or free options for promoting an event or program. Word of mouth is often the best advertising method, so get others talking about your event.

- Engage your potential audience. Discuss issues they care about. Find out how your organization or event connects with their values and interests.
- Invite people to respond. Challenge them to get involved in the community. Ask them to register for your event. Create some sort of call to action so you can gauge how successful your event will be.
- Drive people to your website. Once on your website, they can find more information, sign up for your event, or learn about your organization.

7.2.2. Function and Ethical issues of Publicity and public relations

Any decision begins with a question whether an organization (business) created by a state (or a different someone) can have social responsibilities. Companies are not rational beings but they are established by someone, and their actions are determined by rational beings. Therefore, officer of corporations must ultimately assume responsibilities for corporation actions. Ethics on the work place or within a whole organization became one of the most important issues of a successful business. Usually organizational ethics is dictated by management, and most of its employees will accept the pattern if it is followed by rewards. Individuals will also react under the influence of their own values that have been formed under the influence of cultural, political, economical facts.

The way that individual was raised has a great influence on the way he/she will react as a grown up person. It is important that ethical norms in organization are defined in written form. The ethical codes must exist to protect individual rights, and to enhance the greater good for the majority of people. The existence of the code itself does not guarantee ethical behavior.

The following are few reasons that could affect unethical behavior in organization:

- Giving advantage to shorter usage over long-term goals
- Non existing written ethical code
- Solving ethical dilemmas too fast and over the surface
- Thinking about ethics as only legal question

7.3. Public relations ethics

PR is often seen as a profession that is always working behind the scene, guiding in and out troubled situations.

But PR is also often considered to be a corporate conscience which fits well with the business ethics of social responsibility. The PRSA (Public Relations Society of America) developed its code of professional standards for the practice of PR to meet three goals:

- to provide behavioral guidelines to its members
- to educate management on public relations standards
- To distinguish public relations professionals from those individuals who use the title but are perceived as giving the profession a bad name. amateur

What is important to remember is that ethic codes are not universal, because it cannot be assumed that everyone, regardless to the situation and culture, abides by the same ethical standards. It can be difficult to balance the interests of all of these publics with the interests of the organization itself. Ethics need to have main role in communication because unethical communications are not as obvious as false advertising. Using words in certain way good communicator can affect other, change their expectation and behavior. Good strategies can create a powerful message that tells people to take action. Skills and knowledge as that are very powerful and easy to abuse. The power of PR to shape opinions is one of the most compelling reasons to consider our duties to society, and to take care not to abuse that power by dishonest use of manipulation. PR shelter an organization's reputation and are, at the same time, its conscience.

It is a very powerful position that they hold and also face different challenges as misleading information, influence of management actions, and promotion of inferior products, discrimination or political influence. The definition itself of what Public Relation Ethics are should be: the knowledge, understanding and reasoning to questions of right or wrong behavior in the professional practice of public relations.

7.4. Why do we need codes?

Almost any religion or society has a set of rules, codes by which they live and believe in. Most of professional organizations have their internal codes of ethics. PR and communications organizations are no difference. The most useful way of looking at a code of ethics is as a professions contract with the society it serves rather than, as some people may like to believe, a cook book to thumb through when looking for the answer to a dilemma.

Codes of ethic should set members apart from others, who may purport to provide similar services to the public, by establishing a set of principles by which to work. The code makes a kind of promise about what behavior can be expected. In literature there are some arguments that say organizations shouldn't set any special codes of ethics apart from moral guides given within society. Also, most of the practitioners consider codes as merely minimum standards they need to follow but nobody actually tries to continually further improve the standards. Some go even further and say that ethical codes in PR were created only to professionalize an unprofessional occupation. However, the field of PR is not more ethical because it has codes of ethics, but in a way it should serve as a tool to promote discussion of ethics and to improve how it is being dealt with the ethical questions and grey areas that are encountered as someone is performing his work.

7.5 . Marketing Public Relations and making a decision

Many companies are turning to marketing public relations (MPR) to directly support corporate or product promotion and image making. Thus MPR, like financial PR and community PR, serves a special constituency, namely the marketing department.

MPR plays an important role in:

- ***Assisting in the launch of new products:*** The amazing success of toys such as the Pokemon line owes a great deal to clever publicity.
- ***Assisting in repositioning a mature product:*** New York City had extremely bad press in the 1970s until the "I Love New York" campaign began.
- ***Building interest in a product category:*** Companies and trade associations use MPR to rebuild declining interest in commodities such as eggs and expand consumption of products such as pork.
- ***Ininfluencing specific target groups:*** McDonald's sponsors special neighbour-hood events in Latino and African American communities to build goodwill.

➤ ***Defending products that have encountered public problems:*** Johnson & Johnson's masterly use of MPR was a major factor in saving Tylenol from extinction following two incidents in which poison-tainted Tylenol capsules were found.

➤ ***Building the corporate image in a way that reflects favourably on its products:*** Richard Branson's outrageous publicity stunts have created a bold, upstart image for his U.K.-based Virgin Group.

As the power of mass advertising weakens, marketing managers are turning to MPR to cost-effectively build awareness and brand knowledge and to reach local communities and specific audiences. The company does not pay for the space or time obtained in the media; it pays only for a staff to develop and circulate the stories and manage certain events. A story picked up by the news media could be worth millions of dollars in equivalent advertising—and would be more credible than advertising.

The essential purpose of a poster is the rapid telling of a single simple message using a limited number of elements.

In considering when and how to use MPR, management must follow the same process as it does for advertising and sales promotion: Establish the marketing objectives, choose the messages and vehicles, implement the plan carefully, and evaluate the results.

➤ ***Establishing the marketing objectives.*** These may include: Build awareness of a product, service, person, organization, or an idea; add credibility by communicating a message in an editorial context; boost sales force and dealer enthusiasm; and hold down promotion costs while gaining share of mind. Management needs to set specific objectives for each MPR campaign so the results can be evaluated.

➤ ***Choosing messages and vehicles,*** The MPR expert must identify or develop interesting stories to tell about the product. If there are few stories, the expert should propose news worthy events to sponsor as a way of stimulating media coverage.

➤ ***Implementing and evaluating the plan,*** PR implementation must be handled with care. A great story is easy to place, but other stories might not get past busy editors. One of the chief assets of publicists is their personal relationship with media editors. MPR's contribution to the bottom line is difficult to measure because it is used along with other promotional tools. The easiest measure is the number of exposures obtained in the media, including the audience size

and the cost of that space and time if purchased at advertising rates. Other measures include changes in product awareness, comprehension, or attitude resulting from the MPR campaign (after allowing for the effect of other promotional tools). The most satisfactory measure, however, is sales and-profit impact, allowing the company to determine its return on MPR investment.

7.6. Summary

Modern marketing calls for more than developing a good product, pricing it attractively, and making it accessible to target customers. Companies must also communicate with present and potential stakeholders, and with the general public. A public is any group that has an actual or potential interest in or impact on a company's ability to achieve its objectives. Public relations (PR) involve a variety of programs designed to promote or protect a company's image or its individual products. Marketing public relations (MPR) is often used to support corporate or product promotion and image-building. MPR can affect public awareness at a fraction of the cost of advertising, and is often much more credible. The main tools of PR are publications, events, news, speeches, public-service activities, and identity media.

In considering when and how to use MPR, management must establish the marketing objectives, choose the PR messages and vehicles, implement the plan carefully, and evaluate the results. Results are usually evaluated in terms of number of exposures and cost savings; awareness, comprehension, or attitude changes; and sales-and-profit contribution. Not much is written about Public Relations Ethics. The literature is mostly oriented on the legal part of the profession rather than the moral one. It is necessary for a PR professional to be aware of ethical problems that may be encountered in the PR business as well as to be ready to cope with the dilemmas and find the best solution for the parties involved. Every profession has its own Code of Behavior, also known as professional standards while PR organizations and associations have Ethical Codes, some of which are really good examples of how organizations care that their profession is considered trustworthy in the eyes of public. Even with such detailed help one is never too sure what is the right step to do, so every individual has to decide about his/her own actions and take the consequences as they come.

7.7. Check Your Progress Exercise

1. Which of the followings are considered as an element of public?

A) Government B) Stake holders C) News media D) All are correct

2. Types of publicity that used to rapid telling of a single simple message using a limited number of elements. ?

A) Table of tens B) Posters C) Invitations D) Calendar

3. Which of the following is different from others in relation to marketing public relations and making a decision?

A) Assisting in the launch of new products C) Influencing specific target groups

B) Building interest in a product category D) All are the same

1. What do we need to have public relation code of ethics?

2. What is the goal and types of publicity? List and discuss.

3. What do we understand the history of public relations?

Answer to Check Your Progress Exercise

Multiple Choices: 1.D 2. B 3. D

Discussion: Question 1. Refer, Sub title : Why do we need codes? .. 7.4.

Question 2. Refer, Sub title: Goal and types of publicity 7.2.1

Question 3. Refer Sub title: History of public relations..7.1.2.

Text books:

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